

CSS WITH ALI HASSAN SARGANA

CSS Current Affairs

MULTIPOLAR WORLD ORDER & PAKISTAN'S BALANCING STRATEGY

US-China Rivalry | Russia | Middle East | Strategic Autonomy | Economic Diplomacy

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1. INTRODUCTION

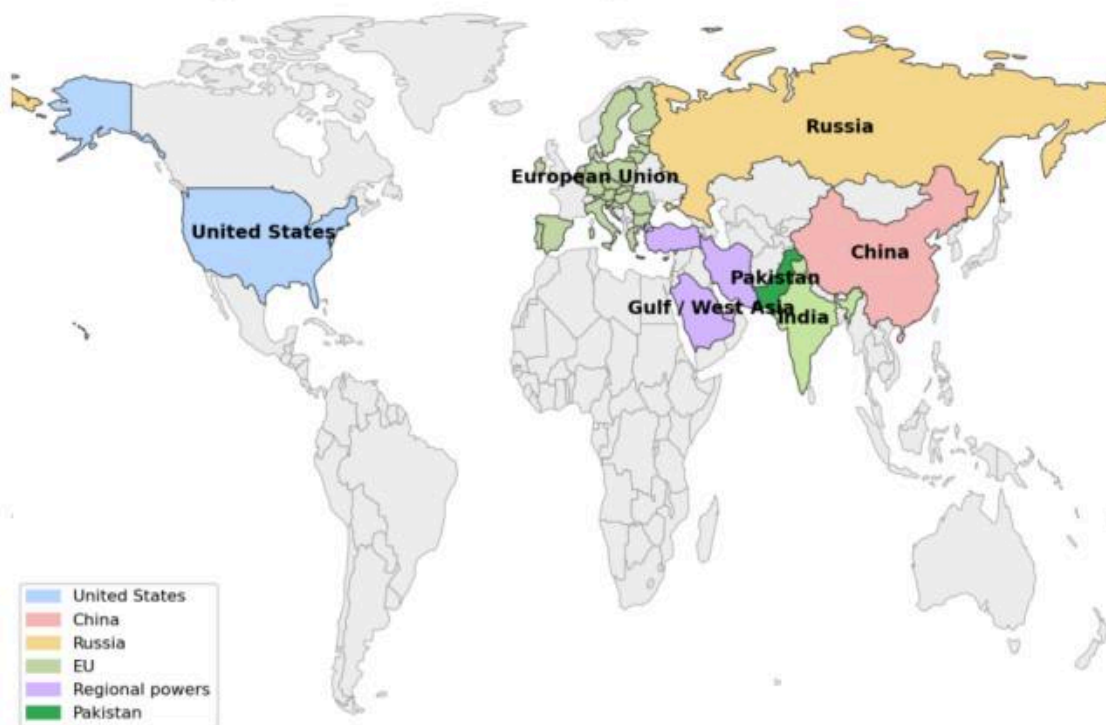
The post-Cold War unipolar moment - dominated overwhelmingly by American power - is decisively over. A multipolar world order is now crystallising, defined by the simultaneous rise of China, the reassertion of Russia, the growing agency of regional powers such as India, Turkey, Iran, and Saudi Arabia, and the weakening of Western-led multilateral institutions. For Pakistan, a state straddling the fault lines of great-power competition, this structural shift is neither a passive backdrop nor a distant abstraction - it is the defining geopolitical reality shaping every dimension of its foreign policy.

The eighteen months since this thesis was first framed have tested it in real time. A brief war with India, a wholesale reset of relations with Washington, a formal defence pact with Saudi Arabia, and an unlikely mediating role between the United States and Iran have all forced Pakistan to practise - not merely theorise - multipolar balancing. This edition integrates those developments into the original analytical framework.

THESIS STATEMENT

As the global balance of power fragments into multiple competing poles, Pakistan's strategic survival and economic renaissance demand a coherent, interest-based balancing strategy - one that maintains productive relations with the United States, deepens the China-Pakistan Economic Corridor (CPEC) partnership, navigates the Russia-West rupture cautiously, and leverages the Gulf's financial and diplomatic weight - without succumbing to the fatal temptation of choosing sides in a new Cold War.

Multipolar World Order: Major Poles and Pakistan



Map: Multipolar World Order: Major Poles and Pakistan

Source: Natural Earth Admin 0 country polygons - naturalearthdata.com/downloads/50m-cultural-vectors/50m-admin-0-countries-2/

2. UNDERSTANDING THE TOPIC - CONCEPTUAL CLARITY

◆ What Is a Multipolar World Order?

- **Multipolarity** refers to a global power structure in which three or more states or blocs possess sufficient military, economic, and diplomatic capabilities to act independently and shape international outcomes.
- Unlike **bipolarity** (US–USSR Cold War) or **unipolarity** (post-1991 American hegemony), multipolarity disperses power, creates competing and overlapping alignments, and expands the strategic space for middle and smaller powers to extract concessions from more than one pole simultaneously.
- Contemporary poles include the **United States** (military primacy, dollar dominance, and - since 2025 - an increasingly personalised, transactional style of diplomacy), **China** (manufacturing, BRI, growing military reach), **Russia** (nuclear arsenal, energy leverage, revisionist posture), the **European Union** (normative and economic power), and emerging centres such as the **Gulf states**, **India**, and **Turkey**.
- The **Global South** is increasingly asserting itself - illustrated by BRICS expansion (2024–2025), the SCO's growth and its Tianjin Declaration call for a "more just multipolar world order," and sustained demands for reform of Bretton Woods institutions.

◆ What Is Pakistan's Balancing Strategy?

- **Strategic balancing** for Pakistan means maintaining functional, mutually beneficial relationships with competing great powers - primarily the US and China, and increasingly the Gulf monarchies - without formally aligning with any single military bloc or ideological camp.
- It is distinct from **bandwagoning** (fully aligning with one power) and **neutrality** (passive non-involvement); it is an active, interest-driven navigation of competing pressures - and, since 2025, an increasingly assertive attempt to monetise that navigation through trade, minerals, and defence diplomacy.
- Pakistan's balancing now rests on **five** pillars rather than four: **(i)** the US relationship (security, tariff and trade access, IMF leverage), **(ii)** the China–Pakistan strategic partnership (CPEC 2.0, military technology, diplomatic support at the UN), **(iii)** Gulf engagement - now formalised through a mutual defence pact with Saudi Arabia - (remittances, investment, security), **(iv)** cautious engagement with Russia and Central Asia via the SCO, and **(v)** an emergent mediator role between rival powers (US–Iran, and to a lesser degree India–Pakistan de-escalation itself), which has become a distinct source of diplomatic capital in its own right.

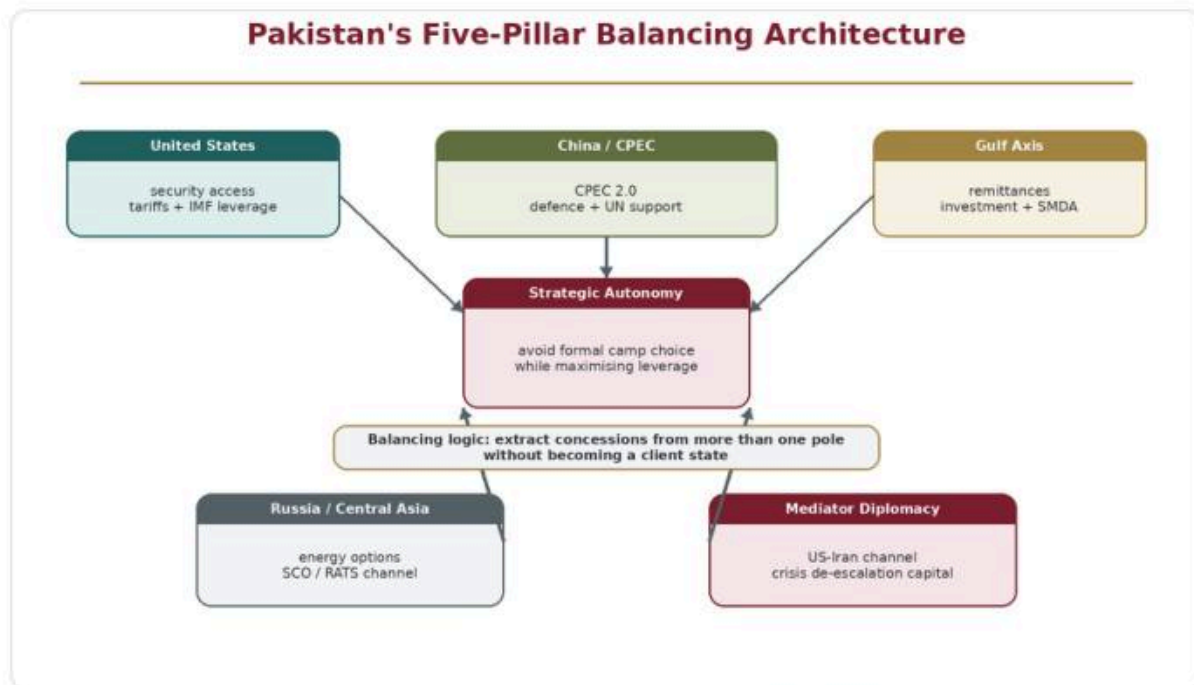
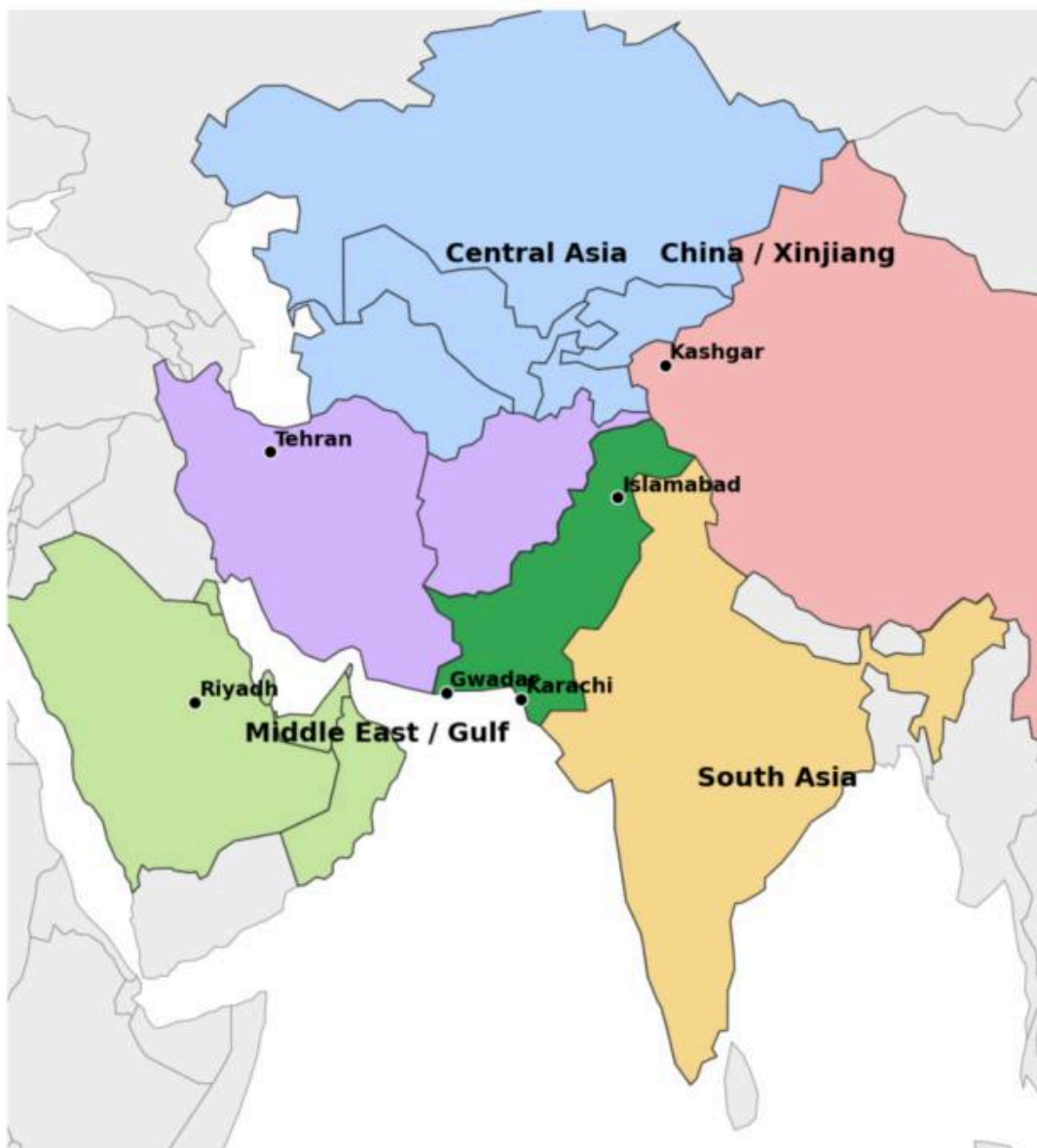


Figure 1: Five-pillar framework of Pakistan's multipolar balancing strategy
 Source: Author's illustration based on the provided notes.

Pakistan at the Crossroads of Regions



Map: Pakistan at the Crossroads of South Asia, Central Asia, China and the Gulf

Source: Natural Earth Admin 0 country polygons - naturalearthdata.com/downloads/50m-cultural-vectors/50m-admin-0-countries-2/

- The concept of **strategic autonomy** - the ability to make independent foreign policy choices without becoming a client state - remains Pakistan's declared ambition and its greatest vulnerability simultaneously; the 2025–2026 period shows both the opportunity (leverage from multiple suitors) and the risk (dependence on a single personal relationship, i.e., the Trump–Munir channel) inherent in that ambition.

◆ Why Is This Topic in Current Affairs?

- The **May 2025 India–Pakistan crisis** - the most serious military confrontation between the two nuclear-armed states in over five decades - placed Pakistan's balancing strategy under direct stress-test conditions and drew in US mediation claims, reshaping South Asian geopolitics.

- The intensification of **US–China rivalry**, alongside a dramatic and unexpected **US tariff divergence** in South Asia (19% on Pakistani goods versus 50% on Indian goods, announced August 2025), has made Pakistan's position as both a CPEC flagship partner and a newly-courtied US partner strategically sensitive and analytically rich.
- **BRICS expansion** (Indonesia's accession in January 2025, taking full membership to eleven states) continues to restructure multilateral economic diplomacy; Pakistan's own application remains pending, with India's assumption of the BRICS chair for 2026 complicating its prospects.
- Pakistan's cascading **economic stabilisation** under its 37-month IMF Extended Fund Facility, record remittance inflows, and its search for Gulf and Chinese investment have exposed the direct connection between geopolitics and economic survival.
- Pakistan's unexpected role as **mediator between the United States and Iran** during the 2025–2026 Middle East wars - hosting the Islamabad talks and brokering the Islamabad Memorandum - made it a visible, load-bearing actor in multipolar crisis diplomacy for the first time in decades.
- The **Saudi Arabia–Pakistan Strategic Mutual Defence Agreement** (September 2025) - the first formal mutual-defence pact between an Arab Gulf state and a nuclear-armed power - marks one of the most consequential shifts in Pakistan's Gulf relationship in decades.

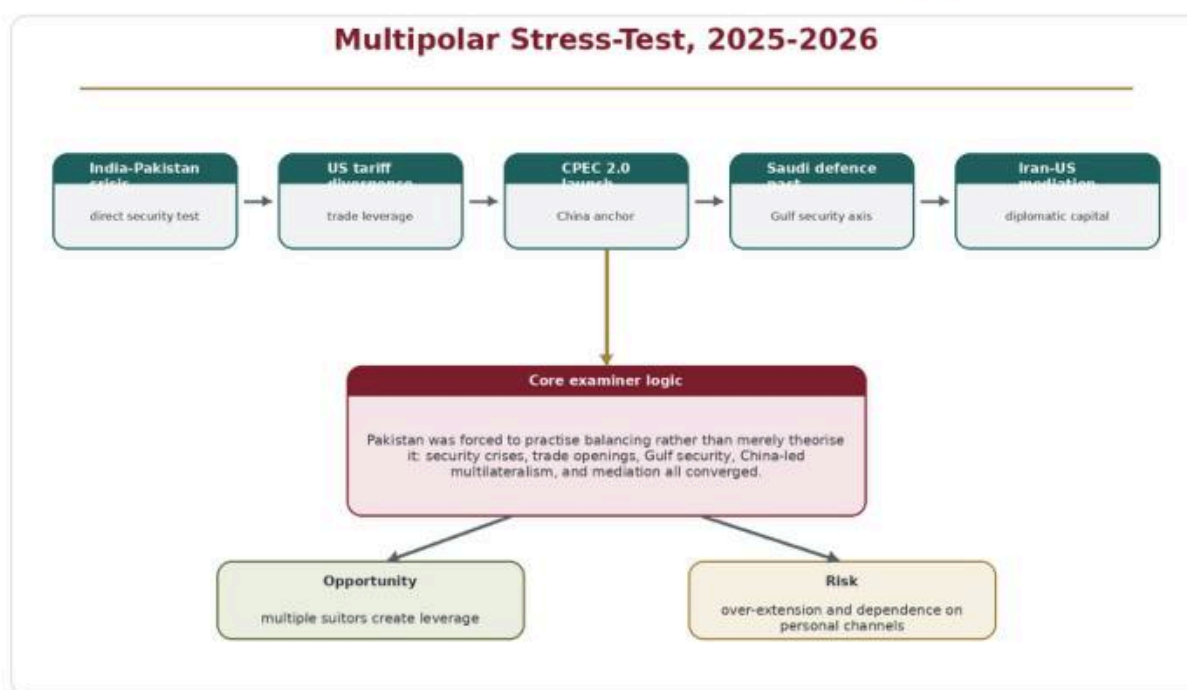


Figure 2: Multipolar stress-test showing how 2025-2026 shocks created simultaneous leverage and risk

Source: Author's illustration based on the provided notes.

◆ Scope: What to Include and What to Avoid

- **Include:** US–Pakistan relations, CPEC and the China partnership, Russia–Pakistan ties, Gulf diplomacy and the Saudi defence pact, strategic autonomy, BRICS and SCO relevance, the May 2025 India–Pakistan crisis and its multipolar fallout, Pakistan's Iran–US mediation role, regional connectivity, and economic diplomacy.
- **Avoid:** Excessive history of partition-era diplomacy, the internal politics of the India–Pakistan Kashmir dispute beyond its multipolar dimension, Afghanistan's internal governance unless linked to multipolarity or CPEC security, or domestic political crises unconnected to foreign policy.

3. CURRENT SITUATION - RECENT DEVELOPMENTS

◆ US–Pakistan Relations: From Strained to Suddenly Central

- Relations began the period **transactional and cool** - the Biden administration and the first months of Trump's second term limited high-level engagement while pressing Pakistan on counterterrorism, non-proliferation, and the political treatment of Imran Khan; a bipartisan US bill in March 2025 even floated personal sanctions on army chief Asim Munir.
- The relationship reversed sharply from **mid-2025**. Pakistan's capture of the ISIS-K figure linked to the 2021 Abbey Gate bombing gave President Trump a concrete counterterrorism win, which he cited in his March 2025 congressional address.
- President Trump hosted **Field Marshal Asim Munir** for an unprecedented White House lunch on **18 June 2025** - the first time a US president hosted a Pakistani military chief unaccompanied by civilian leadership - followed by a joint meeting with **PM Shehbaz Sharif on 25 September 2025**.
- A **Pakistan–US trade deal** was concluded in Washington in July 2025 (Finance Minister Aurangzeb and Foreign Minister Dar for Pakistan; USTR Jamieson Greer and Commerce Secretary Lutnick for the US), confirmed publicly by Trump on 30–31 July 2025 as a "historic energy partnership."
- In the August 2025 tariff realignment, Pakistan secured a **19% tariff rate** - one of the lowest Trump imposed on any major exporter - against a **50% rate on India**, a 31-point gap that Islamabad leveraged through oil-import pledges, critical-minerals access in Balochistan, and a crypto-sector opening (the Pakistan Crypto Council's April 2025 deal with World Liberty Financial, a Trump-family-linked venture).
- The **Balochistan Liberation Army (BLA)** was elevated to full US Foreign Terrorist Organization status, and a long-dormant joint counterterrorism dialogue was reconvened in Islamabad - concrete policy deliverables accompanying the diplomatic thaw.

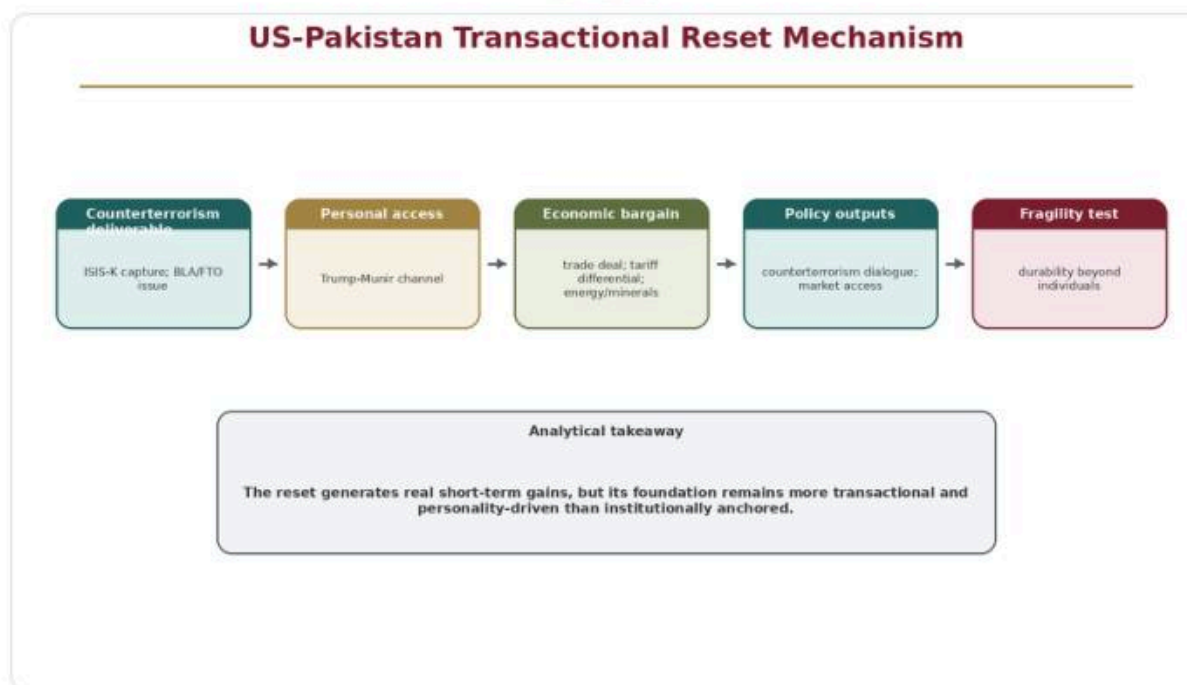


Figure 3: Cause-effect chain behind the transactional US-Pakistan reset

Source: Author's illustration based on the provided notes.

Analysts caution that the pivot is substantially **personality-driven and transactional** rather than institutionally anchored - built on lobbying spend (at least seven Trump-linked firms retained since January 2025), Munir's direct rapport with Trump, and Pakistan's usefulness as leverage against an increasingly assertive India, rather than on a restored strategic consensus in Washington. This is a live examiner debate: durable realignment, or a fragile bet on one administration and one relationship?

◆ The May 2025 India-Pakistan Crisis and Its Multipolar Fallout

- A militant attack at **Pahalgam in Indian-administered Kashmir on 22 April 2025** killed 26 civilians; India blamed Pakistan-based groups, which Islamabad denied, offering to cooperate with an international inquiry. India suspended the **Indus Waters Treaty**, closed its airspace to Pakistani carriers, and expelled diplomats; Pakistan suspended the Simla Agreement in response.
- On **7 May 2025**, India launched **Operation Sindoor**, missile and drone strikes on nine sites in Pakistan and Pakistan-administered Kashmir, which it described as targeting militant infrastructure. Pakistan said the strikes hit civilian areas, including mosques, killing at least 31 civilians.
- Over the following days, the two air forces fought what analysts describe as the largest beyond-visual-range aerial engagement in South Asian history, involving over 100 aircraft on both sides, without either side crossing the Line of Control. Pakistan launched its own retaliatory strikes on Indian military bases on **10 May**, codenamed **Operation Bunyan-un-Marsoos**.
- A **ceasefire took effect on 10 May 2025**. President Trump announced it first on social media and claimed an active US mediating role; Pakistan publicly thanked Washington and later **nominated Trump for the 2025 Nobel Peace Prize** - which was ultimately awarded to Venezuelan opposition leader María Corina Machado, not Trump. India has consistently denied that US mediation played any part, insisting the ceasefire was agreed bilaterally on its own terms.
- Pakistan promoted army chief **Asim Munir to the rank of Field Marshal** on 20 May 2025 in recognition of his role in the conflict, consolidating the military's domestic and diplomatic centrality.

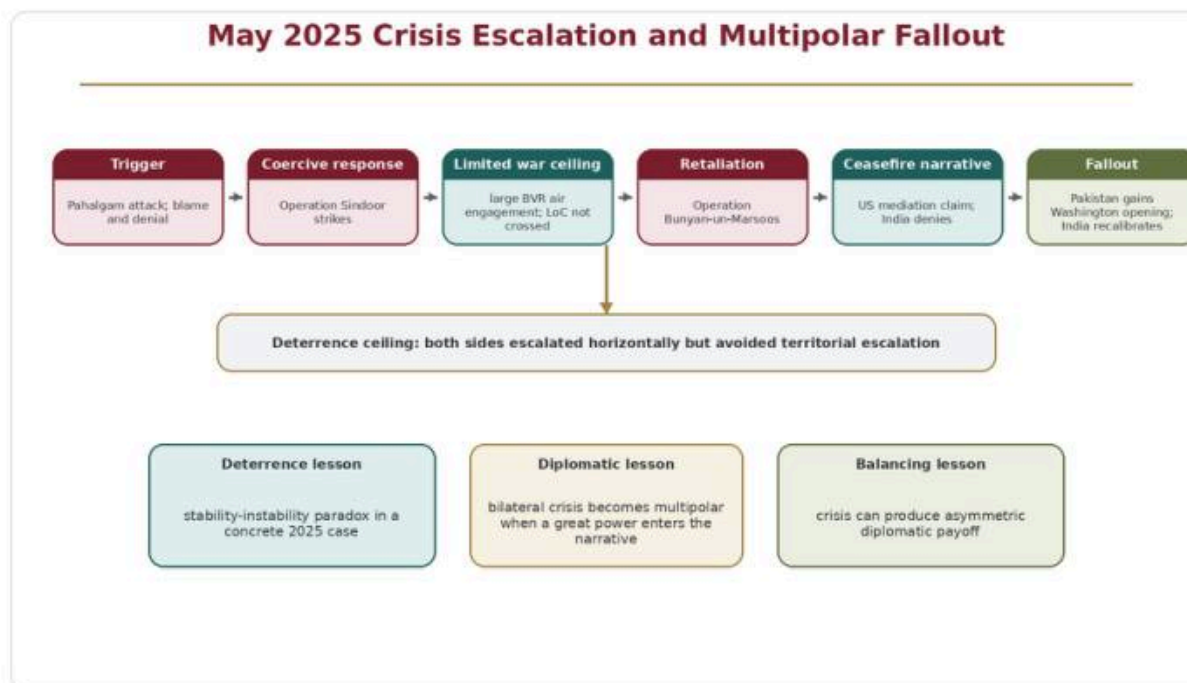


Figure 4: Escalation ladder and diplomatic fallout of the May 2025 India-Pakistan crisis

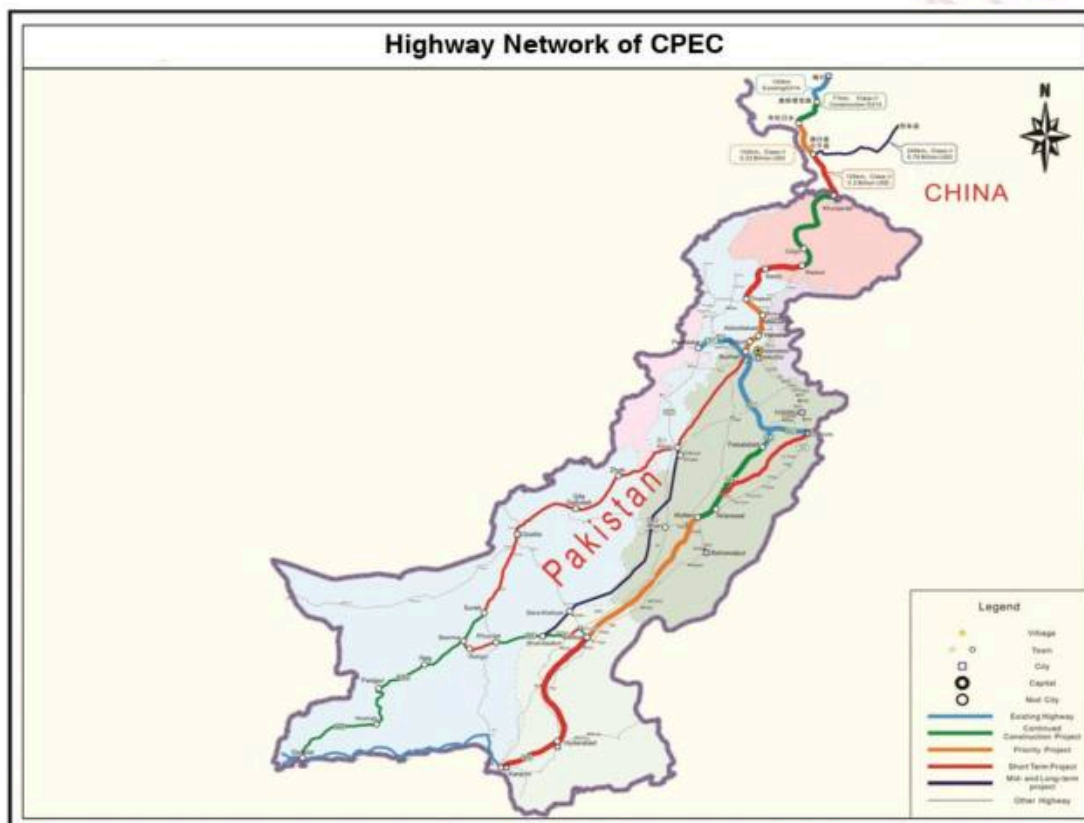
Source: Author's illustration based on the provided notes.

INSIGHT

The demonstrates **nuclear deterrence's stabilising ceiling** (both sides avoided territorial escalation despite unprecedented strikes); it shows how a **bilateral crisis becomes a multipolar event** the moment a great power inserts itself into the narrative; and it illustrates the **asymmetric diplomatic payoff** - Pakistan gained a rehabilitated relationship with Washington from a conflict it did not choose, while India's rejection of US mediation pushed it toward a partial rapprochement with China and Russia at the SCO Tianjin summit months later.

◆ China–Pakistan: Strategic Depth Formalised into "CPEC 2.0"

- CPEC remains the **centrepiece of China–Pakistan relations**, with over USD 62 billion in committed investment across energy, infrastructure, and industrial zones since 2015.

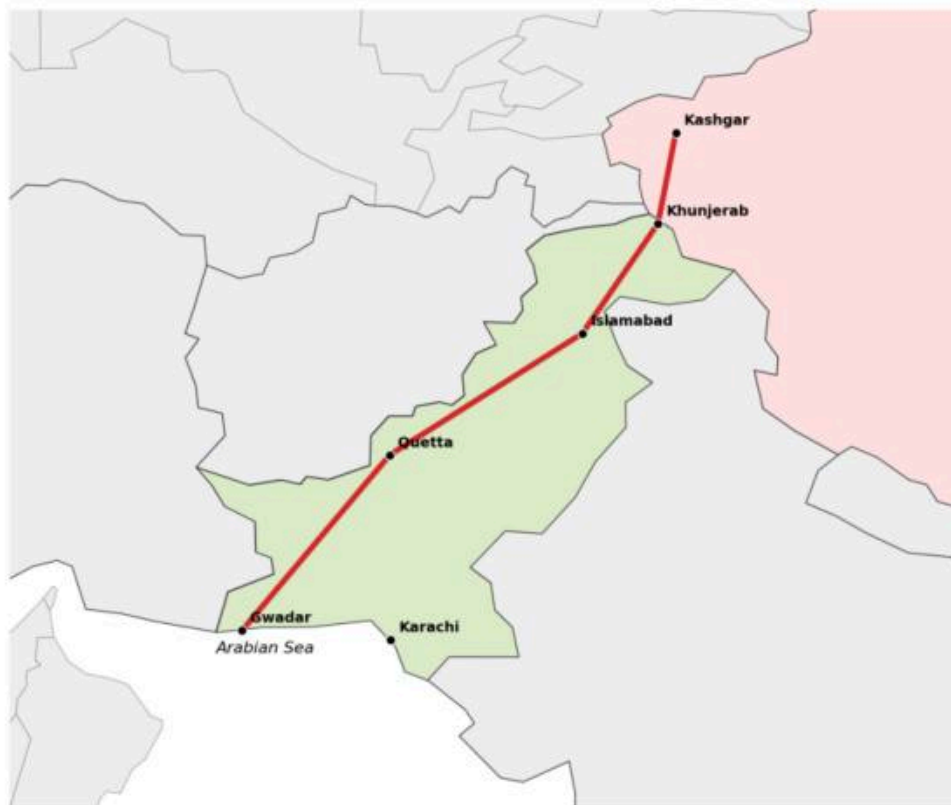


Map: Highway Network of CPEC

Source: Government of Pakistan / Planning Commission via Wikimedia Commons; CPEC Official Website - cpec.gov.pk/map-single/1

- At the **SCO Tianjin Summit (31 August–1 September 2025)**, PM Shehbaz Sharif's meetings with President Xi Jinping and Premier Li Qiang produced a formal **China–Pakistan Action Plan (2025–2029)** with more than a dozen MOUs, marking the **formal launch of CPEC Phase-II ("CPEC 2.0")** after roughly five years of delay - broadening the corridor's scope into industrial cooperation, agriculture, smart cities, digital infrastructure, and people-to-people exchange.
- China pledged **RMB 2 billion in grants for 2025** and **RMB 10 billion in credit lines over three years** through SCO financing mechanisms, alongside continued support for a proposed SCO Development Bank designed to lend outside the US-dollar system.

CPEC Strategic Corridor: Gwadar to Kashgar



Map: CPEC Strategic Corridor: Gwadar to Kashgar (Schematic)

Source: Natural Earth Admin 0 country polygons; CPEC Official Website - cpec.gov.pk

- Tensions persist over **debt repayment**, IPP circular debt, Chinese contractors' security concerns following attacks on Chinese nationals, and the slow pace of Special Economic Zone (SEZ) operationalisation at Rashakai, Dhabeji, and Allama Iqbal Industrial City.
- China remains Pakistan's **largest bilateral trade partner** and primary defence supplier (JF-17 Thunder, naval frigates, HQ-9/P air-defence systems); the May 2025 conflict - in which Pakistan's Chinese-supplied air-defence and combat systems performed against Indian platforms including French-made Rafale jets - has been read internationally as a live showcase (and, per Indian and Western commentary, a partial stress-test) of Chinese defence technology.

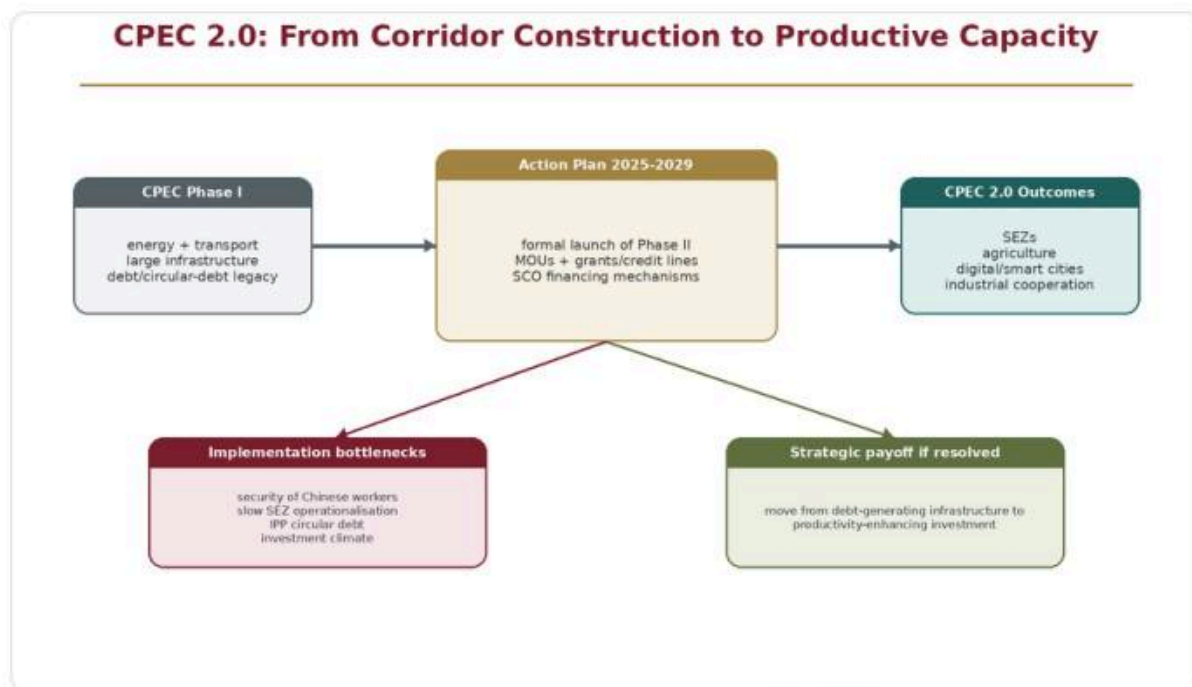


Figure 5: CPEC 2.0 pathway from infrastructure corridor to productive capacity

Source: Author's illustration based on the provided notes.

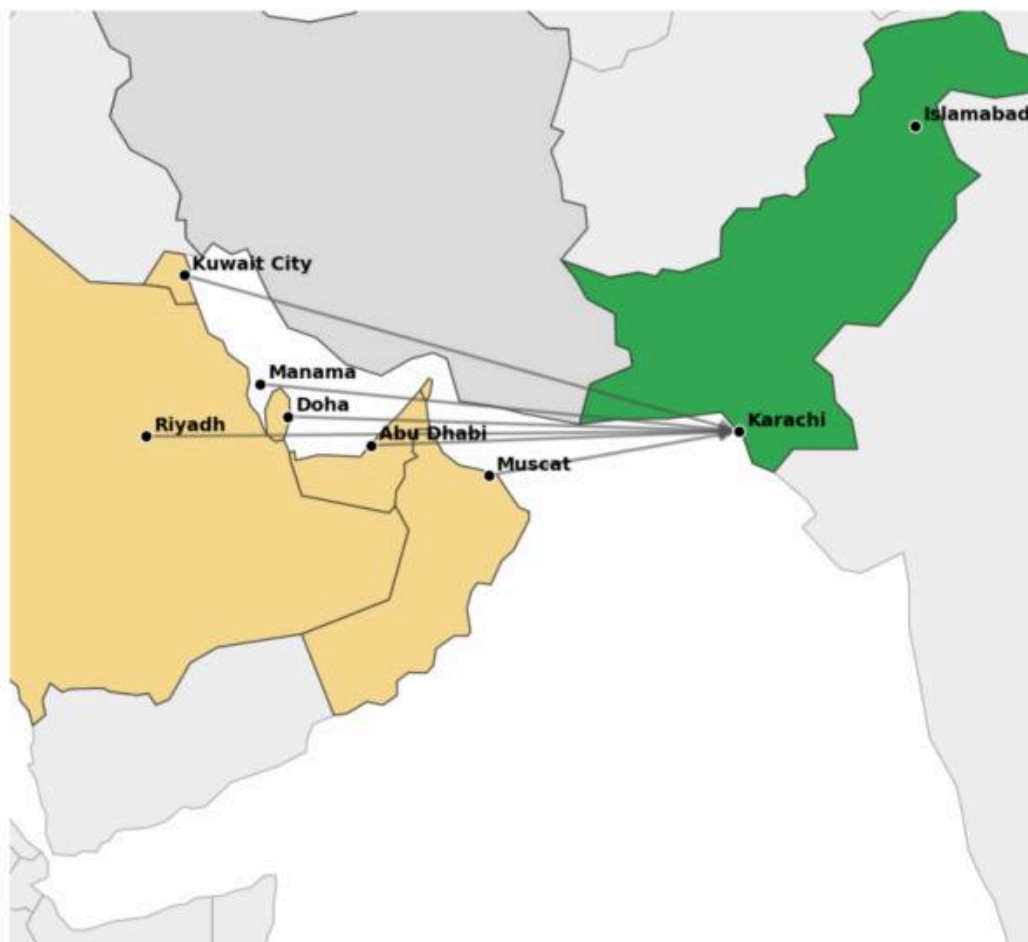
◆ Russia–Pakistan: A Nascent but Constrained Relationship

- Pakistan has pursued carefully calibrated engagement with Russia since 2022 - continuing Pakistan Stream Gas Pipeline negotiations and seeking discounted Russian crude, though actual trade remains **modest** (well under USD 1 billion), constrained by sanctions risk, dollar payment restrictions, and limited connectivity.
- Pakistan's continued **abstention** at the UN on Russia–Ukraine resolutions reflects deliberate non-alignment; Russia has reciprocated with public support for Pakistan's BRICS membership application.
- **Defence diversification** continues through the SCO's Regional Anti-Terrorist Structure (RATS) framework, which gives Islamabad a multilateral channel for counter-terrorism cooperation with Moscow that does not require bilateral alignment.

◆ Middle East and Gulf: From Financial Lifeline to Formal Defence Pact

- Saudi Arabia and the UAE's bilateral deposits in the State Bank of Pakistan have continued to serve as critical external-account buffers, alongside Saudi Vision 2030-linked investment interest in Pakistani IT, agriculture, and real estate.

Pakistan-GCC Economic and Remittance Lifeline



Map: Pakistan–GCC Economic and Remittance Lifeline

Source: Natural Earth Admin 0 country polygons; Gulf Cooperation Council Secretariat - gcc-sg.org

- The single largest development of the period: Pakistan and Saudi Arabia signed a **Strategic Mutual Defence Agreement (SMDA)** in Riyadh on **17 September 2025**, declaring that "any aggression against either country shall be considered an aggression against both." It followed Israel's 9 September 2025 airstrike on Hamas officials in Doha, which badly shook Gulf confidence in US security guarantees.
- Pakistani officials, including Defence Minister Khawaja Asif, initially implied the pact could extend Pakistan's **nuclear umbrella** to Saudi Arabia before partially walking the claim back; a senior Saudi official described it only as "a comprehensive defensive agreement that encompasses all military means." The ambiguity itself is analytically significant - it is the **first formal mutual-defence arrangement between a non-nuclear Arab Gulf state and a nuclear-armed power**, and reports suggest the pact envisages the possible deployment of up to 80,000 Pakistani troops to help secure Saudi borders.
- Pakistan hosts a diaspora of roughly **11 million overseas workers**, heavily concentrated in the Gulf; remittances hit a **record USD 38.3 billion in FY2025** (up 27% year-on-year), comfortably exceeding total merchandise exports, with Saudi Arabia and the UAE together supplying over 40% of the total.
- Pakistan continues to decline direct military participation in Gulf coalition conflicts (per the 2015 parliamentary precedent on Yemen) even as it deepens the formal defence relationship - and has sustained its diplomatic support for Palestinian statehood through the Gaza war and its aftermath, including offering troops to the proposed International Stabilization Force for Gaza.

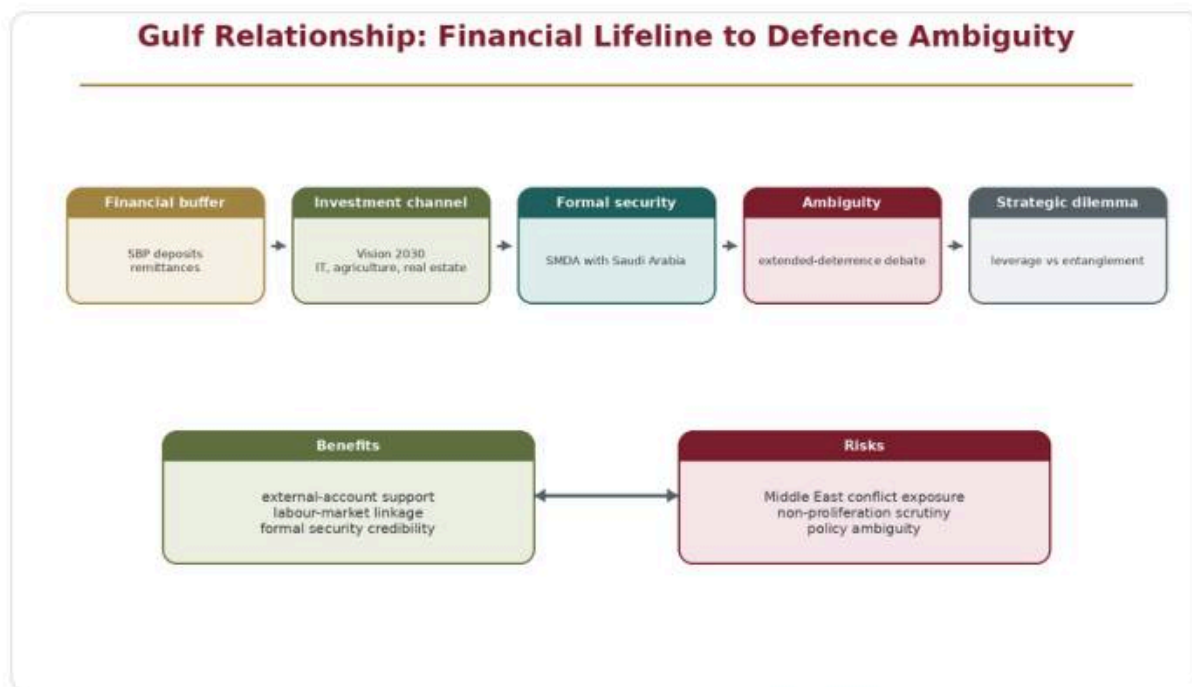


Figure 6: Gulf relationship shift from financial lifeline to defence ambiguity

Source: Author's illustration based on the provided notes.

◆ Multilateral Repositioning: SCO, BRICS, and the UN

- The **SCO Tianjin Summit (China, August–September 2025)** was the largest in the organisation's history, gathering more than 20 leaders including Xi Jinping, Vladimir Putin, and - on his first visit to China in seven years - Narendra Modi. Its **Tianjin Declaration** called for a "more just multipolar world order," and Xi launched a new **Global Governance Initiative** alongside pledges of grants, concessional credit, and expanded scholarships for member states.

Shanghai Cooperation Organisation (SCO) Member States

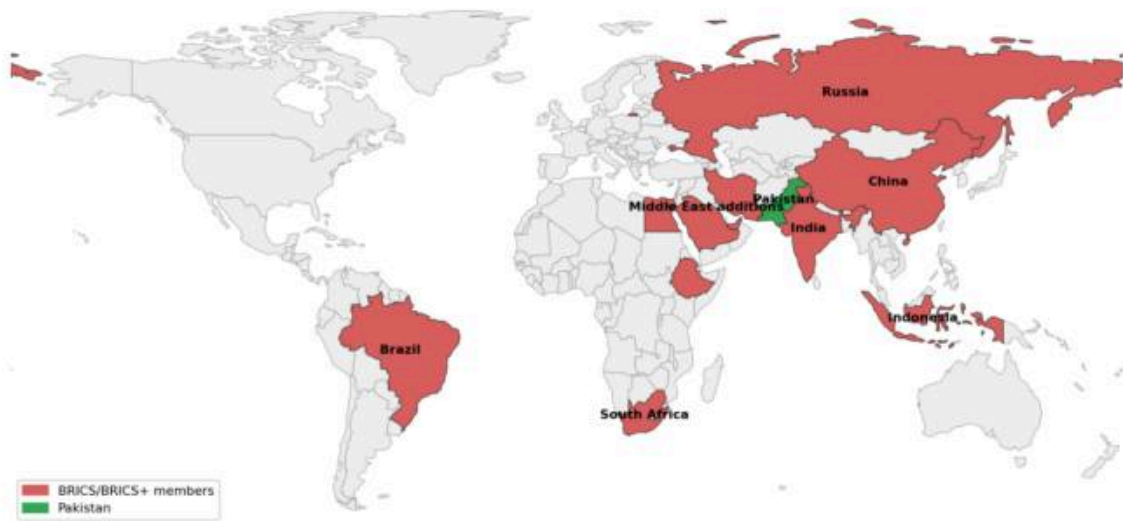


Map: Shanghai Cooperation Organisation Member States and Pakistan

Source: Natural Earth Admin 0 country polygons; Shanghai Cooperation Organization China 2025 - scochina2025.org.cn

- Optically, Pakistan found itself at the **periphery** of Tianjin's dominant storyline - the visible Modi–Xi–Putin rapprochement, including a first substantive Xi–Modi meeting since the 2020 Galwan clash, drew far more global attention than Shehbaz Sharif's participation, underscoring a recurring critique that Pakistan's diplomacy generates headlines in Washington but comparatively little leverage in Beijing-centred multilateralism.
- Pakistan's **BRICS application remains pending**. The bloc expanded to eleven full members with Indonesia's accession in January 2025 (joining Brazil, Russia, India, China, South Africa, Egypt, Ethiopia, Iran, and the UAE); Pakistan applied in 2023 and has China and Russia's backing, but **India assumes the BRICS chair for 2026** (hosting the 18th summit in New Delhi, September 2026) and has signalled a cautious, security-focused approach to further expansion - meaning Pakistani accession, if it comes at all, is unlikely before India's presidency concludes.

BRICS / BRICS+ Geography and Pakistan



Map: BRICS / BRICS+ Geography and Pakistan

Source: Natural Earth Admin 0 country polygons; BRICS Official Brazil 2025 - brics.br/en/about-the-brics

- Pakistan has continued to co-sponsor Global South demands for UN Security Council reform, IMF quota revision, and climate-finance equity, and has leaned further into this role through its 2025–2026 mediation between Washington and Tehran (detailed under the Diplomatic Dimension below).

Multilateral Repositioning: Roles, Benefits and Constraints

Forum	Pakistan's role	Potential leverage	Main constraint
SCO	member since 2017; RATS channel	China-led financing; counterterrorism platform	Pakistan often peripheral to China-India-Russia optics
BRICS	application pending	Global South economic diplomacy; de-dollarisation debates	India's 2026 chair and security caution
UN / OIC	Palestine, climate finance, UNSC reform	normative legitimacy and coalition-building	limited enforcement power
Global South	reformist voice and mediator brand	connects economic justice with crisis diplomacy	credibility depends on domestic stability

Figure 7: Comparison matrix of Pakistan's multilateral repositioning options
Source: Author's illustration based on the provided notes.

Quick-Revision Timeline: Key Multipolar Flashpoints, 2025–2026

A single reference table for rapid recall of how the balancing strategy was tested in real time.

Period	Event	Multipolar Significance
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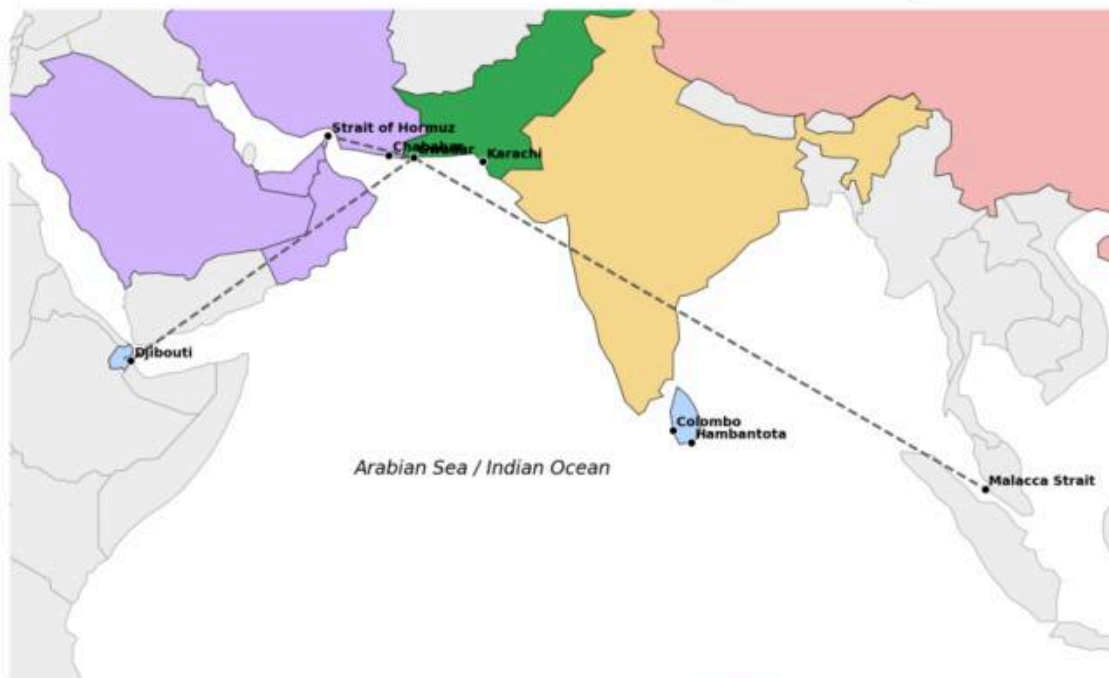
Period	Event	Multipolar Significance
Apr–May 2025	Pahalgam attack; Operation Sindoor; Operation Bunyan-un-Marsoos; US-announced ceasefire (10 May)	India–Pakistan crisis draws in US mediation claims; Pakistan credits Trump, nominates him for the Nobel Peace Prize
May 2025	Munir promoted Field Marshal (20 May); IMF approves 28-month Resilience and Sustainability Facility (9 May)	Military consolidation at home; climate-linked multilateral financing secured
Jun 2025	Israel–Iran–US Twelve-Day War; Munir hosted at the White House (18 Jun)	Pakistan positions itself as a US–Iran back-channel; military-to-military reset with Washington
Jul 2025	Pakistan–US trade deal concluded; 19% tariff secured	Sharpest tariff divergence from India (50%) of any major US trading partner
Aug–Sep 2025	SCO Tianjin Summit; CPEC Phase-II formally launched; Saudi–Pakistan defence pact signed (17 Sep)	China deepens CPEC 2.0; Gulf diversifies security beyond Washington; Pakistan gains nuclear-ambiguity leverage
Oct 2025	Pakistan–Afghanistan border war ("Operation Khyber Storm"); BLA designated FTO by the US	Western frontier destabilises even as ties with Washington and Riyadh improve
Oct 2025	Nobel Peace Prize awarded to María Corina Machado, not Trump	Limits of transactional, personality-driven diplomacy are exposed
Feb–Jun 2026	Second phase of the Iran–US–Israel war; Pakistan mediates the Islamabad talks and the "Islamabad Memorandum" (signed 17 Jun 2026)	Pakistan's bridge-builder role is formalised; diplomatic capital rises, but so does over-extension risk

4. RELEVANT DIMENSIONS

◆ A. Strategic and Security Dimension

- Pakistan's **nuclear deterrence** provided the foundational layer of restraint during the May 2025 crisis - despite the most extensive missile and drone exchanges between the two states in decades, neither side crossed into territorial escalation, a real-world demonstration of the "stability-instability paradox" that answers on deterrence theory can now cite with a concrete 2025 case.
- The **Afghan security vacuum** has deepened rather than eased. TTP attacks in Khyber Pakhtunkhwa surged through 2025, and Pakistan launched cross-border airstrikes ("Operation Khyber Storm," 9 October 2025) targeting TTP leadership in Kabul; retaliatory Afghan Taliban attacks killed dozens of Pakistani soldiers before a Qatar/Türkiye-mediated ceasefire (19 October 2025), which itself collapsed into renewed clashes in **February–March 2026**, displacing over 100,000 people on the Afghan side alone.
- **India–US strategic partnership** dynamics shifted unexpectedly: the 2025 tariff war and Trump's tilt toward Islamabad temporarily strained Washington–New Delhi ties, pushing India toward a partial, calculated rapprochement with China and Russia at the SCO Tianjin summit - evidence that multipolar competition can produce counter-intuitive realignments even among established partners.

Gwadar and Indian Ocean Strategic Geometry



Map: Gwadar and Indian Ocean Strategic Geometry

Source: Natural Earth Admin 0 country polygons - naturalearthdata.com

- The **Saudi–Pakistan Strategic Mutual Defence Agreement** extends Pakistan's defence diversification into an entirely new register: it is Pakistan's first treaty-level defence commitment outside its traditional US–China–Russia balancing triangle, and analysts at Chatham House and the Belfer Center note it sets a precedent for extended deterrence by a nuclear-armed state outside the Non-Proliferation Treaty - a live d on nuclear policy and non-proliferation.
- Pakistan's **defence diversification** - US-origin F-16s, Chinese JF-17s and air-defence systems (combat-tested in May 2025), Russian Mi-35 helicopters, and now a Gulf defence-industrial dimension via the Saudi pact - remains a material expression of multipolar balancing in the security domain.
- Growing **cyber and information-warfare threats** were visible during the May 2025 crisis itself, including AI-manipulated video and disinformation campaigns targeting Pakistani officials, underscoring the need for institutional cyber resilience as part of any strategic-autonomy framework.

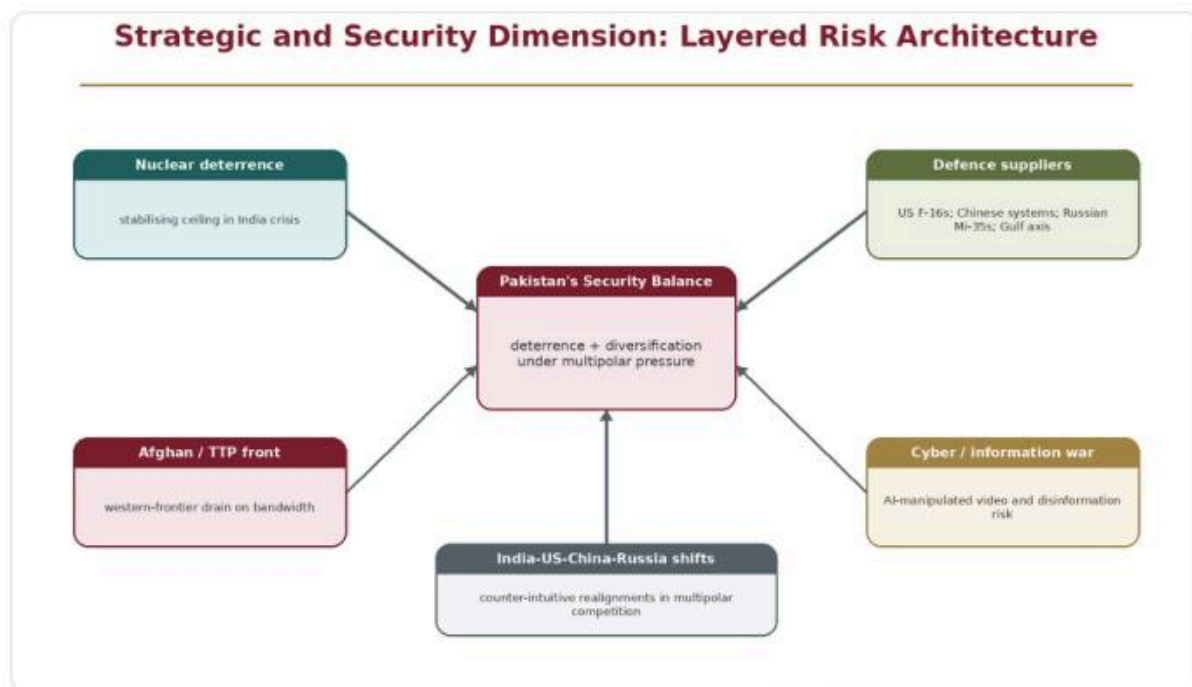


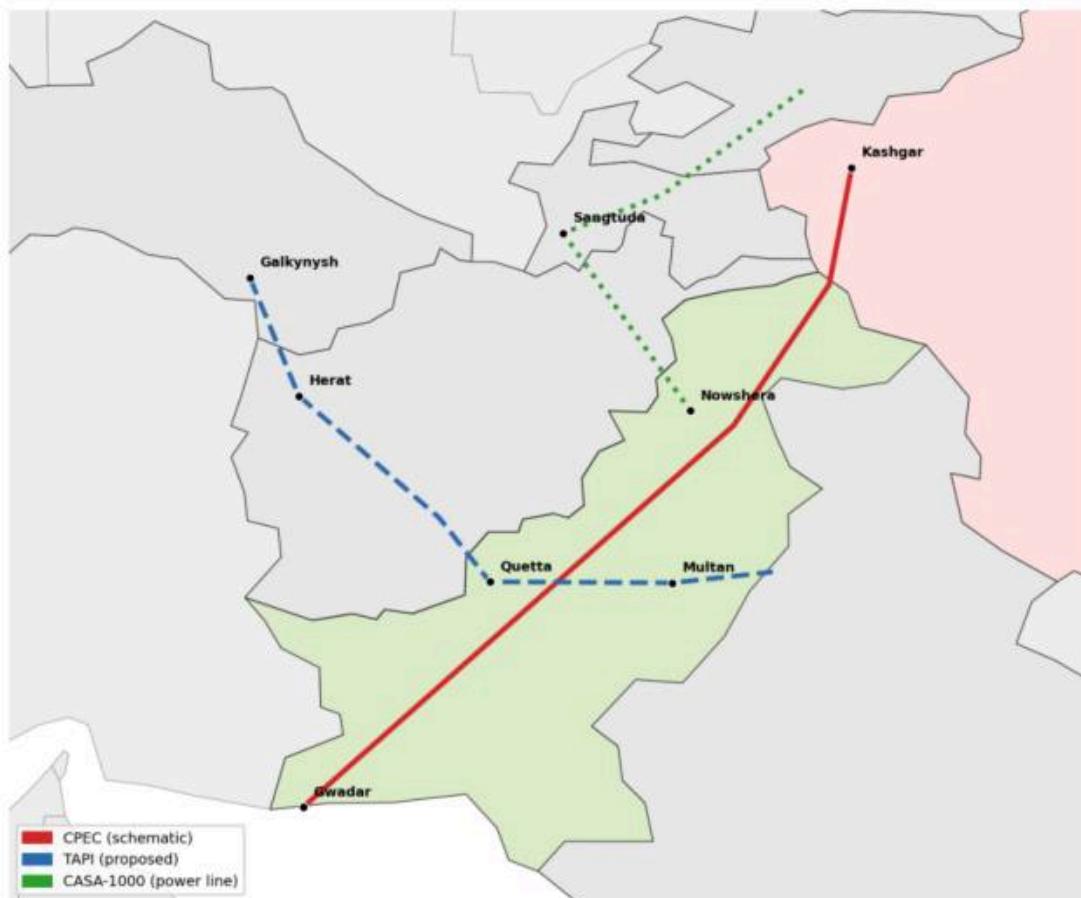
Figure 8: Layered security risks shaping Pakistan's multipolar balancing strategy

Source: Author's illustration based on the provided notes.

◆ B. Economic and Trade Dimension

- **CPEC 2.0**, formally launched at the SCO Tianjin summit under the China–Pakistan Action Plan (2025–2029), shifts the corridor's centre of gravity from raw infrastructure toward industrial cooperation, agriculture, and SEZs - but still requires Pakistan to resolve energy-sector circular debt and improve the investment climate to convert MOUs into disbursed capital.
- Pakistan's **export concentration** (textiles, rice, IT services) and reliance on imported energy remain structural vulnerabilities; however, IT exports have grown toward a **USD 3.2 billion** run-rate with an official target of USD 10 billion, and FY2026 growth (3.7% real GDP, the fastest in four years) has been driven partly by broad-based manufacturing and services expansion rather than commodity cycles alone.
- **Tariff diplomacy has replaced GSP-style frameworks** as the operative US trade instrument: the July 2025 trade deal and the resulting 19% tariff - the lowest Pakistan has secured in any major market - now function as the practical equivalent of the market-access concessions Pakistan previously sought through GSP+/GSP schemes, while EU GSP+ status remains separately in force for European market access.
- **Dollar hegemony vs. yuan/rouble settlement**: China continues to push CPEC-linked payments and SCO development-bank financing outside the dollar system, while Russia insists on rouble or barter for energy - both trends offer Pakistan partial de-dollarisation options but carry real transition and liquidity risks.

Regional Connectivity Projects: CPEC, TAPI and CASA-1000



Map: Regional Connectivity Projects: CPEC, TAPI and CASA-1000

Source: Natural Earth Admin 0 country polygons; CASA-1000 Official Website - casa-1000.org; Asian Development Bank TAPI Project - adb.org; CPEC Official Website - cpec.gov.pk

- **Debt sustainability** remains central: Pakistan's FY2026 gross external financing requirement is roughly **USD 19.4 billion**, with continued reliance on rollovers from China and Saudi Arabia alongside IMF disbursements - even as reserves rebuilt from USD 9.4 billion (August 2024) to roughly **USD 16 billion** by end-2025, and Pakistan re-entered international capital markets with a Eurobond and a debut Panda Bond issuance in 2026.

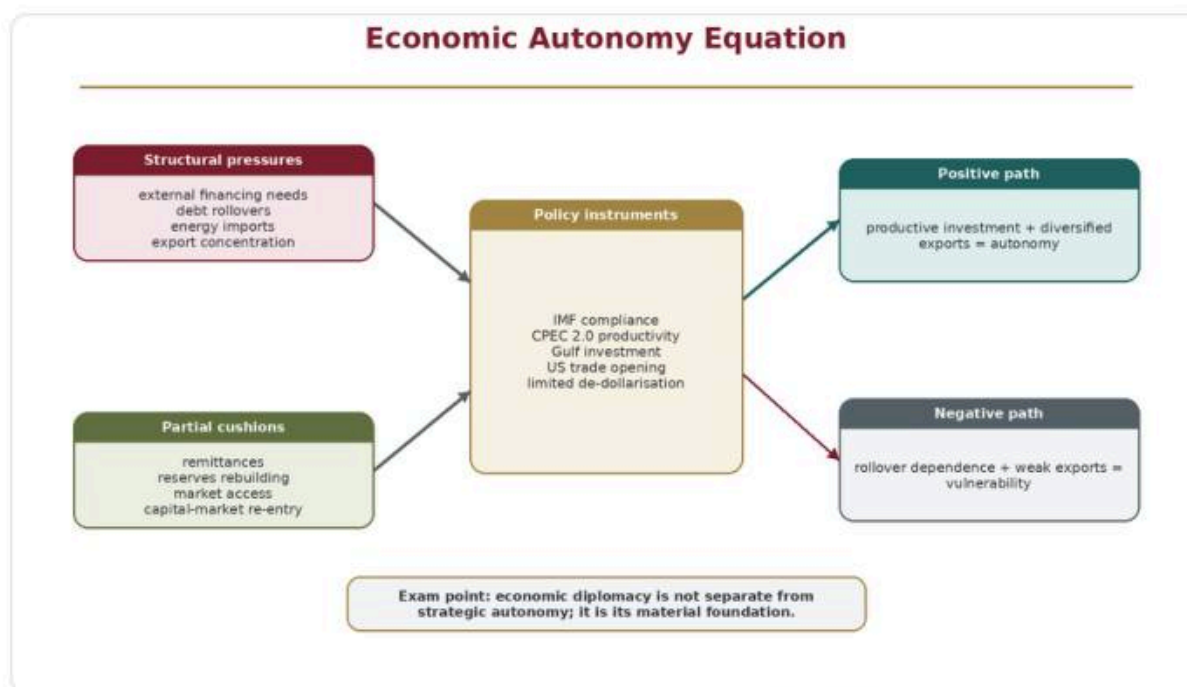


Figure 9: Economic autonomy equation linking financing pressures to strategic choices

Source: Author's illustration based on the provided notes.

◆ C. Diplomatic Dimension

- Pakistan's **UN voting patterns** - abstentions on Russia-Ukraine resolutions, consistent support for Palestinian rights, and advocacy for Global South reform - continue to reflect its multipolar positioning, sometimes at the cost of friction with Western partners.
- **Economic diplomacy** has been institutionally upgraded through the Special Investment Facilitation Council (SIFC), Gulf Liaison Units, and PM-level investment summits, reflecting the recognition that diplomacy must serve economic interests directly.
- **Afghanistan** shifted from a manageable diplomatic variable to an active crisis in 2025–2026: Islamabad now combines coercive tools (border closures, mass repatriation of Afghan nationals, cross-border strikes) with intermittent, externally mediated talks (Doha, Istanbul) - a marked departure from the accommodative post-2021 posture and a genuine test of whether Pakistan can manage its western frontier without undermining its eastern-facing diplomatic gains.

Pakistan as Mediator: The Iran-US Back-Channel (2025–2026)

- Iran-Pakistan relations were transformed by two rounds of Israeli/US-Iran war in **June 2025** (the "Twelve-Day War") and **February–June 2026**. Rather than being drawn into the conflict, Pakistan positioned itself as a trusted intermediary - a role built deliberately in mid-2025 when Islamabad publicly condemned the June 2025 US strikes on Iran even while deepening ties with Washington, preserving credibility with Tehran.
- Pakistan (with Chinese support) delivered a **five-point peace initiative** in March 2026 and, on **8 April 2026**, PM Shehbaz Sharif announced a **US-Iran ceasefire brokered by Pakistan** after Iran rejected an initial 45-day framework and countered with its own 10-point plan. High-level US-Iran talks were subsequently hosted in **Islamabad** (11–12 April 2026) - the highest-level direct US-Iran engagement since 1979.
- On **17 June 2026**, President Trump and Iranian President Masoud Pezeshkian signed the **"Islamabad Memorandum"** - Trump at the Palace of Versailles following the G7 summit, Pezeshkian in Tehran - with further implementation talks mediated by Pakistan and Qatar at Lake Lucerne.

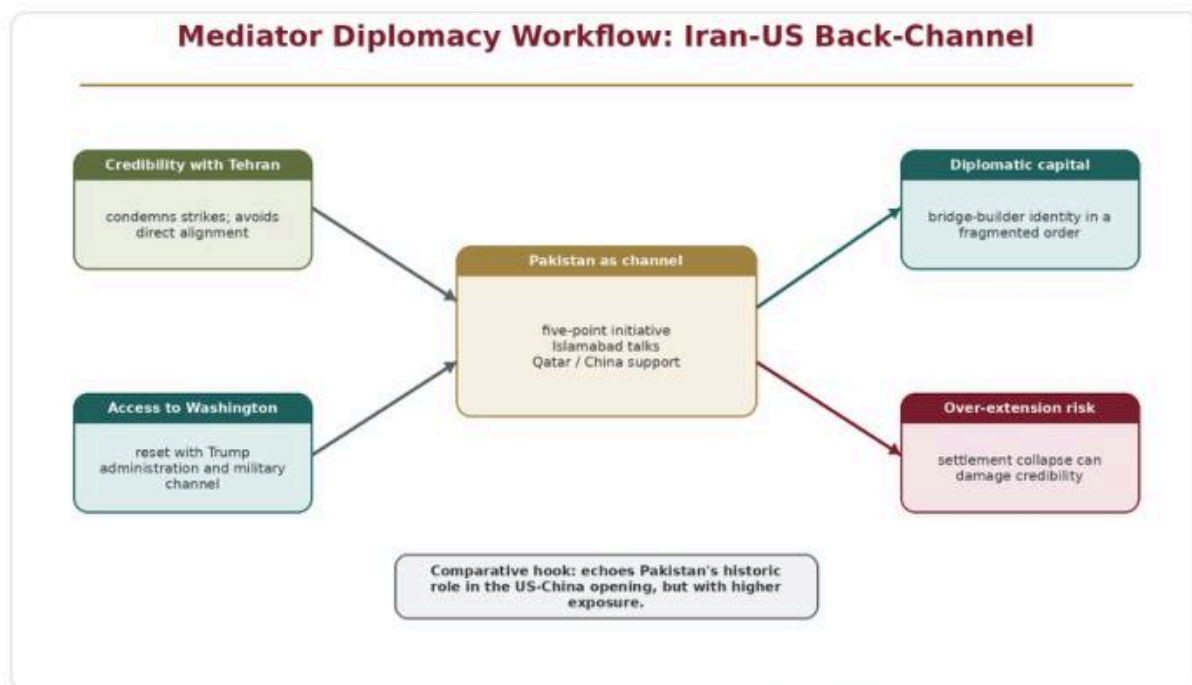


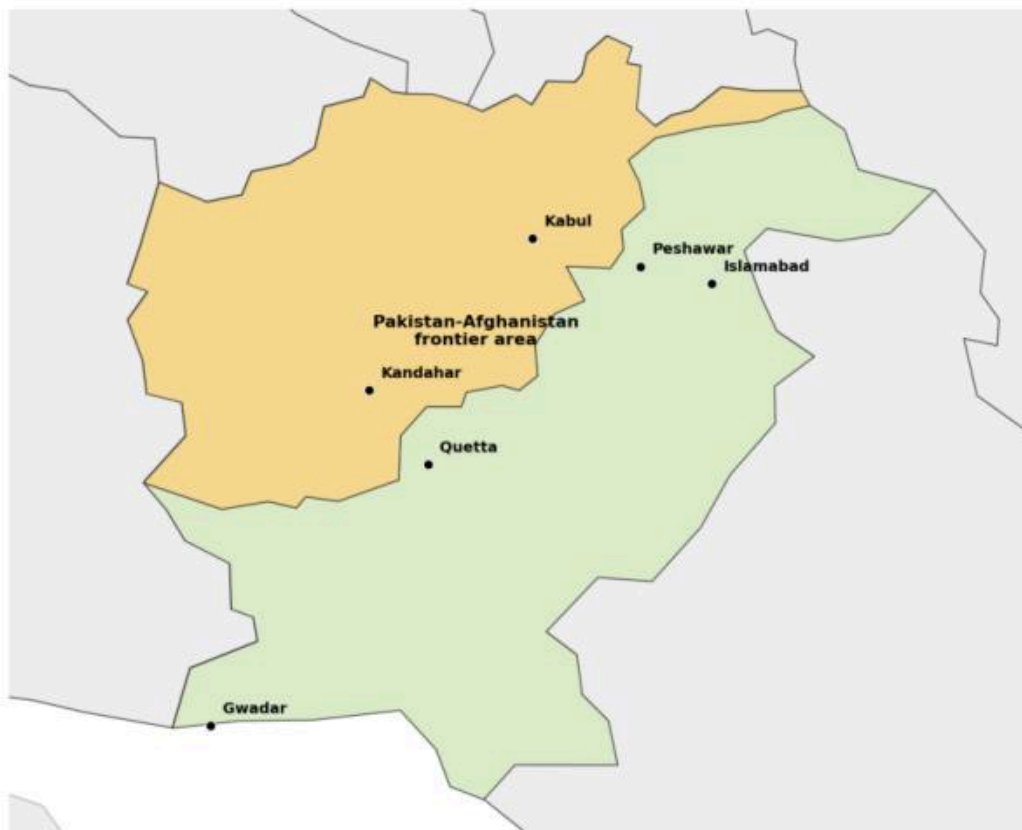
Figure 10: Mediation workflow showing how Pakistan converts cross-camp access into diplomatic capital

Source: Author's illustration based on the provided notes.

INSIGHT

Pakistan's mediator role echoes its historic 1970s function as the channel for the US–China opening. It also illustrates a core multipolarity insight: **diplomatic capital in a fragmented order accrues to states that can talk to all sides**, not only to those aligned with the strongest pole. The risk is over-extension - mediating a great-power conflict raises Pakistan's profile but also its exposure if the mediated settlement later collapses.

Pakistan-Afghanistan Frontier and Security Geography



Map: Pakistan–Afghanistan–Iran Frontier Context

Source: Natural Earth Admin 0 country polygons - [naturalearthdata.com](https://www.naturalearthdata.com)

- **Turkey:** a growing strategic convergence through the SCO, OIC, and defence cooperation (Bayraktar drones, joint naval exercises) adds a non-traditional diplomatic pillar; Turkey also co-mediated the October 2025 Pakistan–Afghanistan ceasefire talks, underlining its emerging role as a regional facilitator alongside Qatar.

◆ D. Political and Governance Dimension

- **Domestic political instability** persists as a constraint on long-term strategic planning, even as the military's international standing has risen sharply - a divergence that itself illustrates Pakistan's hybrid civil-military decision-making model.
- **Foreign policy ownership** remains concentrated: major decisions on the Saudi defence pact, the US trade deal, and Iran mediation were driven predominantly by the military leadership and a small civilian circle, with limited parliamentary scrutiny - a democratic-deficit critique explored further in Section 8.
- The **hybrid civil-military model** became more visible, not less, during this period: Field Marshal Munir's direct personal channel to President Trump, his high-profile international travel, and his centrality to both the Saudi pact and Iran mediation have arguably made the military establishment the primary interlocutor for Pakistan's great-power diplomacy, ahead of the civilian foreign ministry in several instances.

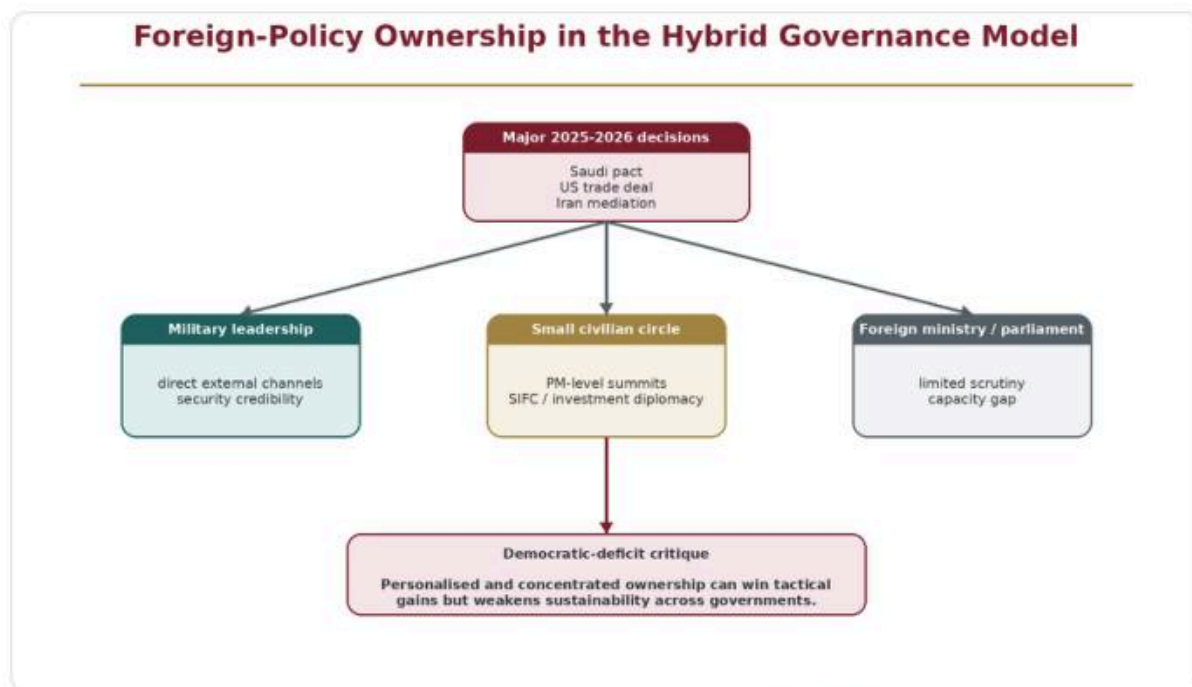


Figure 11: Foreign-policy ownership pattern in Pakistan's hybrid governance model

Source: Author's illustration based on the provided notes.

- **Populist nationalism** - expressed through competing anti-American and anti-Indian sentiment - continues to constrain the foreign-policy establishment's room for nuanced positioning, particularly in the charged aftermath of the May 2025 conflict.

◆ E. Energy and Climate Dimension

- **Energy security** remains the material foundation of strategic autonomy: Pakistan cannot claim independence while remaining heavily dependent on imported LNG, coal, and oil priced in dollars - a vulnerability sharply exposed when the 2025–2026 Middle East wars disrupted Strait of Hormuz traffic and pushed global crude prices above USD 100 per barrel at points in 2026, forcing Pakistan into austerity measures, power cuts, and a temporary four-day working week.
- **Russian oil imports** at discounted rates remain a partial hedge, but dollar payment restrictions, refinery-compatibility limits, and secondary-sanctions risk continue to cap their scale; Pakistan has instead moved to secure US crude supply under the July 2025 trade deal as an additional diversification channel.
- **CPEC energy projects** - coal, hydro, wind, and solar - resolved Pakistan's earlier load-shedding crisis but left a legacy of circular debt, which stood at roughly **PRs 3.4 trillion (2.7% of GDP)** as of December 2025 per IMF data, despite continued tariff-adjustment efforts under the EFF programme.
- Pakistan remains among the world's **most climate-vulnerable countries**; renewed severe flooding in 2025 (cited by PM Shehbaz Sharif at the SCO Tianjin summit) reinforced the case for the IMF's **28-month Resilience and Sustainability Facility (USD 1.4 billion, approved 9 May 2025)** - the first time Pakistan has secured dedicated multilateral financing explicitly tied to climate and disaster resilience rather than general balance-of-payments support.

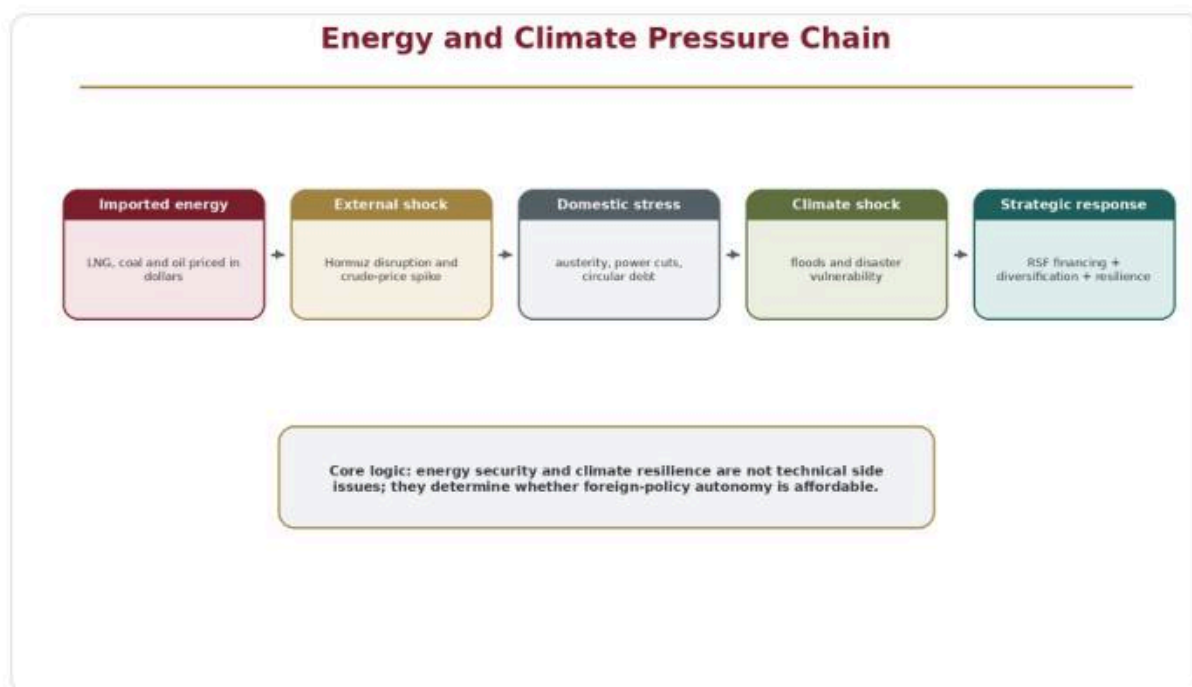
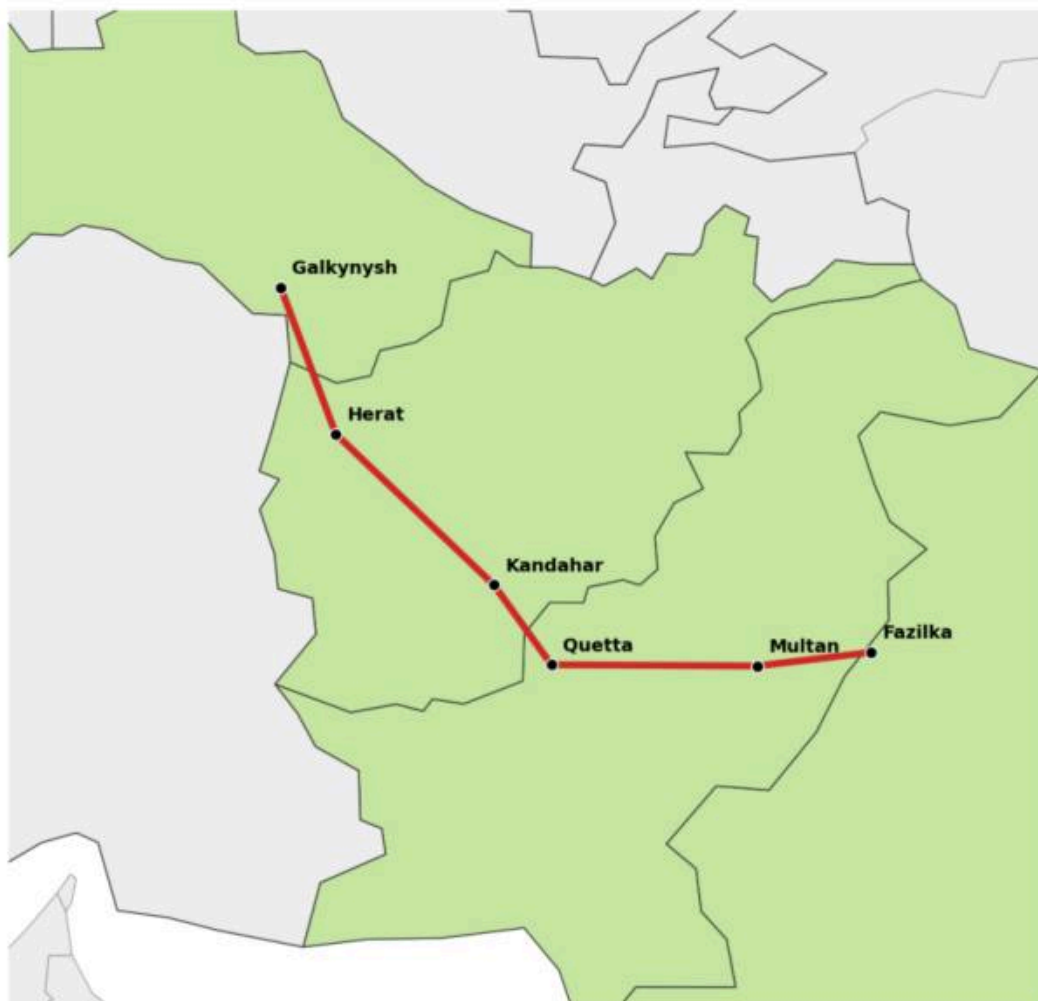


Figure 12: Energy and climate pressure chain constraining strategic autonomy

Source: Author's illustration based on the provided notes.

TAPI Gas Pipeline Route (Proposed)



Map: TAPI Gas Pipeline Route (Proposed)

Source: Natural Earth Admin 0 country polygons; Asian Development Bank TAPI Project - adb.org

- The **TAPI Pipeline**, if completed, would diversify Pakistan's gas supply and create a durable economic incentive for Afghan stability - though the 2025–2026 border conflict with the Afghan Taliban has, if anything, pushed implementation further from reach.

5. IMPORTANCE FOR PAKISTAN

- **Economic survival:** Pakistan's ability to attract foreign direct investment, access concessional financing, manage external debt, and build export markets is directly shaped by the quality of its great-power relationships. The 2025–2026 period shows both sides of this: the US and Saudi pivots delivered real relief, while the Middle East wars and Afghan border conflict imposed real costs.
- **Security architecture:** Pakistan's military modernisation, nuclear deterrence credibility, and counterterrorism capabilities are partially dependent on great-power patronage - the US for F-16 sustainment and renewed counterterrorism cooperation; China for JF-17s, naval platforms, and CPEC-linked security cooperation; Saudi Arabia now for a formal defence guarantee alongside continued financial support.
- **Regional connectivity as economic transformation:** CPEC 2.0, if implemented on the Action Plan (2025–2029) timeline, retains the potential to generate several additional percentage points of GDP

growth and hundreds of thousands of jobs - but this now requires managing not only Chinese expectations but also the western-frontier instability that threatens overland connectivity to Central Asia.

- **Afghan buffer management:** no country has a greater stake in Afghan stability than Pakistan, yet 2025–2026 marks the sharpest deterioration in Pakistan–Taliban relations since 2021 - undermining, rather than reinforcing, this traditional pillar of the balancing strategy.
- **Remittance and Gulf economic lifeline:** a record **USD 38.3 billion** in remittances in FY2025 (up 27% year-on-year, and on track to exceed USD 41 billion in FY2026) - concentrated in Saudi Arabia, the UAE, and the UK - now sits alongside a formal defence relationship with Riyadh, deepening Gulf centrality to Pakistan's external-sector stability in both economic and security terms.
- **Sovereign foreign policy credibility:** Pakistan's mediating role between the US and Iran, and its ability to secure a historically favourable US tariff outcome, have strengthened the case that Islamabad can act on national interest rather than as a client of any single power - though critics note this credibility rests heavily on personal relationships that may not outlast a change of leadership in Washington.
- **Global South leadership:** Pakistan's geographic position, nuclear status, CPEC anchor role, and now its demonstrated crisis-mediation capacity give it a stronger platform for Global South leadership at the UN, OIC, and in multilateral institutions than it held at the start of 2025.

6. MAJOR CHALLENGES

◆ Structural Economic Dependence

- Pakistan's recurring balance-of-payments crises have produced **24 IMF programmes since 1958** - the most recent being the September 2024 EFF, now in its third review (approved May 2026, cumulative EFF+RSF disbursements of roughly **USD 4.8 billion**) - a fundamental constraint on strategic autonomy given that IMF conditionalities are substantially shaped by US-aligned governance preferences.
- **Debt concentration** in Chinese CPEC loans, Gulf bilateral deposits, and now IMF/multilateral obligations creates layered vulnerabilities: FY2026 gross external financing needs of roughly USD 19.4 billion leave limited room for error if any single relationship sours.
- **Export stagnation** relative to remittance growth is itself a structural concern: Pakistan's merchandise exports remain near USD 30 billion, meaning remittances (USD 38.3 billion in FY2025) now substantially exceed what the country earns through trade - a lifeline, but not a substitute for productive economic transformation.

◆ The US–China Binary Trap - Now Complicated by a Third Axis

- As US–China competition intensifies, pressure on smaller states to align continues to grow through export-control regimes, technology decoupling, and financial-sanctions architecture - even as Pakistan has, paradoxically, benefited in the short term from being courted by Washington precisely because of tension with India.
- **CPEC's security footprint** - Chinese private security arrangements, port access at Gwadar - continues to fuel American strategic suspicion, even as US–Pakistan ties otherwise improve; managing this perception gap remains an unresolved diplomatic balancing act.
- The **Saudi defence pact** introduces a genuinely new complication: unresolved ambiguity over whether it implies nuclear-sharing risks entangling Pakistan in Middle Eastern security dynamics (Israel–Iran, Gulf security architecture) that sit outside its traditional South Asian and CPEC-centred calculus.

◆ Domestic Political Instability

- Frequent government changes and continued **civil–military divergence** on strategic priorities complicate the credibility of foreign-policy commitments made by civilian governments, even as the military's own international standing has strengthened.
- **Economic nationalism and populism**, sharpened by the emotionally charged aftermath of the May 2025 conflict, can drive foreign-policy choices that are electorally popular but strategically costly.

◆ Security Threats to CPEC, Economic Connectivity, and the Western Frontier

- **Attacks on Chinese nationals and CPEC infrastructure** continue to erode Beijing's confidence in Pakistan's protective capacity, slowing project implementation even as CPEC 2.0 is formally launched.
- **TTP's resurgence**, now compounded by open conflict with the Afghan Taliban (October 2025 and February–March 2026), has consumed a growing share of Pakistan's security bandwidth - Islamabad's own data shows a sharp rise in KP casualties through 2025, and UN human rights experts have raised concerns about the proportionality of Pakistan's cross-border strikes.
- **Balochistan's insurgency**, including BLA attacks on CPEC infrastructure (now a US-designated Foreign Terrorist Organization), remains an unresolved sub-national conflict that foreign investors continue to cite as a major deterrent - even as the same province's mineral wealth is simultaneously being marketed to US and Saudi investors.

◆ Institutional and Diplomatic Capacity Gaps

- Pakistan's foreign service cadre remains small and under-resourced relative to the country's expanding diplomatic workload - mediating a great-power conflict, managing a new Gulf defence pact, and stabilising two hostile borders simultaneously stretches institutional capacity.
- There remains **no published, integrated National Security and Foreign Policy Document** binding successive governments to a coherent framework - leaving open the question of whether 2025–2026's gains represent strategy or improvisation (examined further in Section 8).

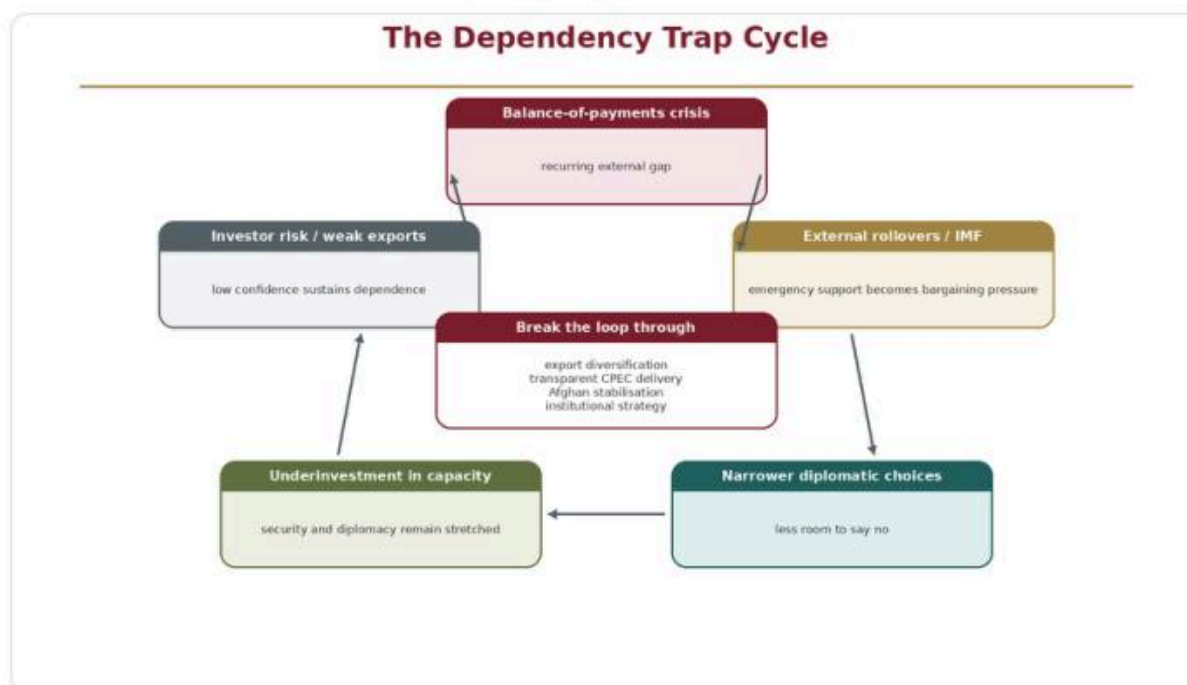


Figure 13: Dependency-trap cycle linking economic vulnerability, security risk and diplomatic constraint

Source: Author's illustration based on the provided notes.

7. OPPORTUNITIES

◆ Geo-Economic Centrality

- Pakistan's position at the intersection of South Asia, Central Asia, the Middle East, and China remains a structural asset that, if paired with functioning connectivity infrastructure, can make it indispensable to regional trade flows.
- **CPEC 2.0**, launched under the 2025–2029 Action Plan with fresh Chinese grants and credit lines, offers a genuine - if not yet proven - path from debt-generating infrastructure toward productivity-enhancing industrial partnership.
- **Transit economy potential:** CPEC linking Gwadar to Xinjiang, combined with CASA-1000 electricity imports and TAPI gas transit (subject to Afghan stabilisation), continues to position Pakistan as a potential regional hub.



Map: CASA-1000 Transmission Line Map

Source: CASA-1000 Official Website - casa-1000.org

◆ BRICS and SCO Engagement

- **SCO membership** (since 2017) gave Pakistan a seat at the largest summit in the organisation's history at Tianjin in 2025, with concrete Chinese financing pledges (RMB 2 billion in 2025 grants; RMB 10

billion in three-year credit lines) and a proposed SCO Development Bank offering a partial alternative to IMF-anchored financing.

- **BRICS membership remains a live opportunity rather than an achieved one.** Pakistan's application (filed 2023) retains Chinese and Russian backing, and diplomatic sources have suggested accession is plausible at the bloc's 18th or 19th summit (2025 or 2026) - but with India chairing BRICS for 2026 and adopting a deliberately cautious stance toward Pakistan's candidacy, a near-term breakthrough should not be assumed for exam purposes.
- SCO's **Regional Anti-Terrorist Structure (RATS)** continues to provide an institutional, multilateral framework for addressing TTP and Afghan security issues outside purely bilateral US-Pakistan or Pakistan-Afghanistan channels.

◆ Gulf Investment, Diversification, and Now Formal Security Partnership

- **Saudi Vision 2030** and the UAE's diversification agenda continue to create investment appetite in Pakistani agri-business, IT, renewable energy, and logistics; the **September 2025 defence pact** adds an unprecedented security dimension to what was previously a primarily financial and remittance-based relationship.
- **SIFC-facilitated deals** and the broader US pivot have opened a new avenue: Pakistan is actively marketing Balochistan's mineral wealth to both Gulf and US investors, with a September 2025 MOU between US Strategic Metals and Pakistan's Frontier Works Organization for critical-minerals production.
- **Green energy transition:** Pakistan's solar and wind potential continues to align with Gulf decarbonisation investment strategies, and Pakistan has separately become one of the world's largest solar-panel importers, opening a further avenue of economic diplomacy.

◆ Strategic Autonomy and Mediator Diplomacy as a New Brand

- Pakistan's brokering of the **2026 US-Iran ceasefire and Islamabad Memorandum** gives its long-standing "honest broker" self-image concrete, internationally recognised substance for the first time in decades - a genuinely new opportunity to build durable diplomatic capital beyond transactional wins.
- Hosting global mediation talks, supporting Palestinian rights at the UN, and engaging both BRICS-adjacent and Western forums simultaneously positions Pakistan as a bridge-builder whose relevance does not depend on picking a single pole.
- **Nuclear status**, now reinforced by the ambiguity introduced by the Saudi defence pact, grants Pakistan a permanent floor of strategic relevance that no great power can afford to ignore entirely, regardless of diplomatic tensions.

8. CRITICAL ANALYSIS

◆ Is Pakistan's Balancing Strategy Coherent or Reactive?

- Critics continue to argue that Pakistan's multipolar positioning is less a **strategic doctrine** than **crisis-driven improvisation** - the 2025-2026 record can be read either way: Islamabad reacted to a war it did not start (May 2025), a tariff war it did not initiate (August 2025), and a Middle East conflict it did not choose to mediate, yet converted each into tangible gains.
- The **absence of a published National Security Strategy** integrating economic, diplomatic, and security objectives still makes it impossible to distinguish disciplined strategy from skilled opportunism - the SCO Tianjin summit exposed this starkly, with Pakistan visibly peripheral to the Modi-Xi-Putin storyline even as it was simultaneously central to Washington's regional calculus.

- Defenders counter that **flexibility is itself the strategy**: a resource-constrained middle power converted four independent 2025–2026 shocks (India, tariffs, Gulf security anxiety, Iran) into four separate streams of leverage - arguably the clearest real-world demonstration of "balancing rather than bandwagoning" the country has produced in a single eighteen-month window.

◆ Transactional Diplomacy Under Trump: Windfall or Fragile Dependency?

- The scale and speed of the 2025 US pivot toward Pakistan invites scrutiny of **how** it was achieved: reported lobbying expenditure exceeding several million dollars across at least seven Trump-connected firms, a crypto-sector deal with a Trump-family-linked venture, and the marketing of Balochistan's mineral wealth directly to Trump's stated interest in "energy dominance" - methods that resemble personal-network diplomacy more than institutional realignment.
- The **unsuccessful Nobel Peace Prize nomination** is a useful corrective for exam answers: it shows that Pakistan's 2025 diplomatic gains, while real in trade and security terms, did not translate into the kind of durable international prestige that outlasts a single administration's news cycle.
- The structural risk is **concentration**: much of the 2025–2026 US relationship runs through a single personal channel (the Trump–Munir rapport) rather than through institutionalised interagency ties - a vulnerability if either individual's position changes, echoing Pakistan's historical pattern of "abandonment cycles" after periods of close US alignment (the 1980s and post-9/11 War on Terror being the clearest precedents).

◆ The CPEC Dependency Paradox

- CPEC was conceived as an engine of transformation, but evidence continues to suggest it deepened **structural dependency** rather than self-reliance in its first decade - a critique CPEC 2.0's industrial-cooperation framing explicitly seeks to address, though implementation evidence remains limited so soon after the Tianjin launch.
- Pakistan's **technology-transfer gains** from CPEC's first phase were limited, with Chinese contractors relying heavily on Chinese labour and equipment; whether the 2025–2029 Action Plan's SEZ and agriculture components genuinely change this pattern should flag as unresolved rather than assume answered.
- The **circular-debt legacy** of CPEC energy projects (PRs 3.4 trillion as of December 2025) continues to complicate IMF programme compliance and constrain fiscal space, even as headline economic indicators (GDP growth, reserves, the current-account surplus) have improved.

◆ The Afghan Contradiction: Winning Washington and Riyadh, Losing Kabul

- The single sharpest internal contradiction of the 2025–2026 period is that Pakistan's diplomatic gains with the US, Saudi Arabia, and (partially) via SCO financing have coincided with the **worst deterioration in Pakistan–Afghanistan relations since the 2021 Taliban takeover** - cross-border airstrikes, a collapsed ceasefire, mass deportations, and border closures that have measurably damaged Afghan trade and, by extension, Pakistan's own transit-hub ambitions.
- This complicates the balancing narrative: a strategy praised for successfully navigating **great-power** competition has simultaneously struggled to manage a **regional, non-state-adjacent** security relationship - suggesting that Pakistan's multipolar diplomacy is stronger at the level of major powers than at the level of its immediate neighbourhood, a nuance well worth making in a high-scoring answer.

◆ The Risk of Over-Reliance on Any Single Pole

- Pakistan's historical **abandonment cycles** with the US remain the cautionary template against which the 2025–2026 pivot should be read; the pattern of intense engagement followed by disengagement

once a specific US objective (counterterrorism, in this case regional leverage against India) is served has repeated at least twice before.

- A comparable dynamic could emerge with China if CPEC 2.0's returns fail to materialise faster than its first phase did; equally, the Saudi relationship - however formalised - remains, per most Western analysts (Brookings, RAND, MEI), more diplomatic signalling than an operational military guarantee for now.
- **Gulf concentration risk** persists and has arguably deepened: over 40% of Pakistan's record remittance inflow now originates from Saudi Arabia and the UAE alone, meaning any Gulf economic downturn or migrant-labour policy shift remains a direct threat to external-account stability, even as the same two countries now underpin the trade and - for Saudi Arabia - security relationship as well.

◆ The Democratic Deficit in Foreign Policy

- Pakistan's most consequential 2025–2026 decisions - the Saudi defence pact, the terms of the US trade deal, the Iran mediation posture - were negotiated with minimal parliamentary oversight or public debate, continuing a longstanding democratic-deficit pattern.
- This weakens the sustainability of strategic commitments: agreements struck under one civil-military configuration may be questioned or reinterpreted by successors, and the ambiguity Pakistan has deliberately maintained around the Saudi pact's nuclear dimension is itself a symptom of decision-making concentrated outside normal institutional channels.

9. IMPLICATIONS

◆ Short-Term Implications (2026–2027)

- **IMF programme compliance** will continue to dominate Pakistan's economic diplomacy through the EFF's remaining reviews and the RSF's climate-resilience conditionality - with the Middle East war's inflationary and financing-cost spillovers (sovereign spreads briefly widened by roughly 500bps in early 2026) now an explicit risk factor in IMF assessments.
- **CPEC 2.0 execution** will test whether the 2025–2029 Action Plan converts MOUs and Chinese credit lines into disbursed, productive investment, or repeats the first phase's pattern of announcement outpacing delivery.
- **Afghanistan's instability** will remain the most immediate drag on the balancing strategy's coherence; sustained TTP-sponsored terrorism and unresolved Pakistan–Taliban hostility will continue to tax security resources even as diplomatic capital rises elsewhere.
- Pakistan's improved reserve position and re-entry into international capital markets (Eurobond and Panda Bond issuance in 2026) create a window to convert diplomatic goodwill from the US, Saudi Arabia, and China into concrete, bankable investment - the SIFC's central test for the coming year.

◆ Medium-Term Implications (2027–2030)

- **US–China technology decoupling** will increasingly force Pakistan into consequential digital-infrastructure choices (Huawei versus Western 5G/AI ecosystems), a decision made more delicate by the depth of the 2025 US trade and investment opening.
- **BRICS membership** remains realistically a medium-term rather than near-term prospect: with India chairing the bloc through its September 2026 New Delhi summit and favouring a cautious expansion posture, Pakistani accession is more plausible after 2026 than during it.
- **Regional economic integration** through CPEC 2.0, TAPI, and SCO trade frameworks could raise Pakistan's medium-term growth trajectory materially - but only if the Afghan border relationship is

stabilised, since almost every regional connectivity project ultimately transits Afghan or Afghan-adjacent territory.

- Pakistan's **climate vulnerability** will continue to intensify; the 2025 floods cited at the SCO summit reinforce that RSF-style dedicated climate financing, rather than only general balance-of-payments support, will need to become a permanent feature of Pakistan's multilateral engagement.

◆ Long-Term Implications (Post-2030)

- If the multipolar transition is managed well, Pakistan could emerge as a genuine middle power - a transit hub, a manufacturing destination, and a diplomatic bridge - leveraging both its geography and its demonstrated 2025–2026 mediation capacity as durable strategic assets rather than one-off wins.
- If managed poorly - with unresolved Afghan hostility, CPEC 2.0 underdelivery, or a reversal of the US relationship after a change in Washington's leadership - Pakistan risks reverting to **geopolitical marginalisation**: perpetually dependent on crisis-driven financial rescues despite occasional diplomatic high points.
- **Nuclear deterrence**, now reinforced by the ambiguous extended-deterrence dimension of the Saudi pact, will remain Pakistan's ultimate strategic guarantee regardless of how the multipolar order evolves - but, as this edition's evidence shows, deterrence alone converts neither into economic transformation nor into regional stability.

10. WAY FORWARD - POLICY RECOMMENDATIONS

◆ Immediate Steps (2026)

- **Formalise a National Security and Foreign Policy Document**: Pakistan must still articulate a coherent, publicly communicated grand strategy integrating economic, diplomatic, and security objectives - the 2025–2026 record of skilfully managed shocks is not, by itself, evidence that such a document is unnecessary.
- **Institutionalise the US relationship beyond the Trump–Munir channel**: build interagency, congressional, and business-community ties that would allow the relationship to survive a change in personnel on either side, converting a personal rapport into a structural partnership.
- **Pursue a negotiated, not purely military, settlement with the Afghan Taliban**: sustained cross-border strikes have not resolved the TTP threat and have damaged trade and transit ambitions central to CPEC 2.0 and TAPI; renewed Doha- or Istanbul-style mediated dialogue should be prioritised over further escalation.
- **Renegotiate CPEC energy contracts** to address the PRs 3.4 trillion circular-debt legacy through tariff rationalisation, equity conversion, or restructuring, reducing contingent fiscal liabilities ahead of CPEC 2.0's industrial buildout.
- **Clarify the Saudi defence pact's scope** through appropriate channels, resolving the nuclear-sharing ambiguity in a manner that preserves strategic flexibility without inviting unnecessary non-proliferation scrutiny.
- **Strengthen parliamentary foreign policy oversight**: establish a standing committee with access to classified briefings on the Saudi pact, the US trade deal, and Iran mediation, improving democratic legitimacy without compromising operational security.

◆ Medium-Term Reforms (2026–2029)

- **Convert CPEC 2.0 MOUs into disbursed investment** with transparent, measurable milestones - the credibility of the entire "productive phase" narrative depends on avoiding a repeat of Phase-I's announcement-heavy, delivery-light pattern.

- **Build trade diversification beyond textiles and remittances:** continue expanding IT services (from roughly USD 3.2 billion toward the USD 10 billion target), pharmaceuticals, and precision manufacturing so that export earnings, not only remittances, anchor the external account.
- **Deepen the US trade relationship into binding commitments:** the 2025 tariff deal is a significant opening, but converting it into a more durable framework agreement would reduce the risk that a change in the US administration reverses the current tariff advantage over regional competitors.
- **Operationalise TAPI and CASA-1000** through sustained diplomatic engagement with Turkmenistan, Afghanistan, and Central Asian states - contingent on, and a further reason to prioritise, Afghan border de-escalation.
- **Invest in diplomatic capacity:** expand the foreign service cadre and build a domestically funded National Foreign Policy Research Institute, reducing reliance on ad hoc, individual-driven diplomacy of the kind that characterised the 2025 US opening.

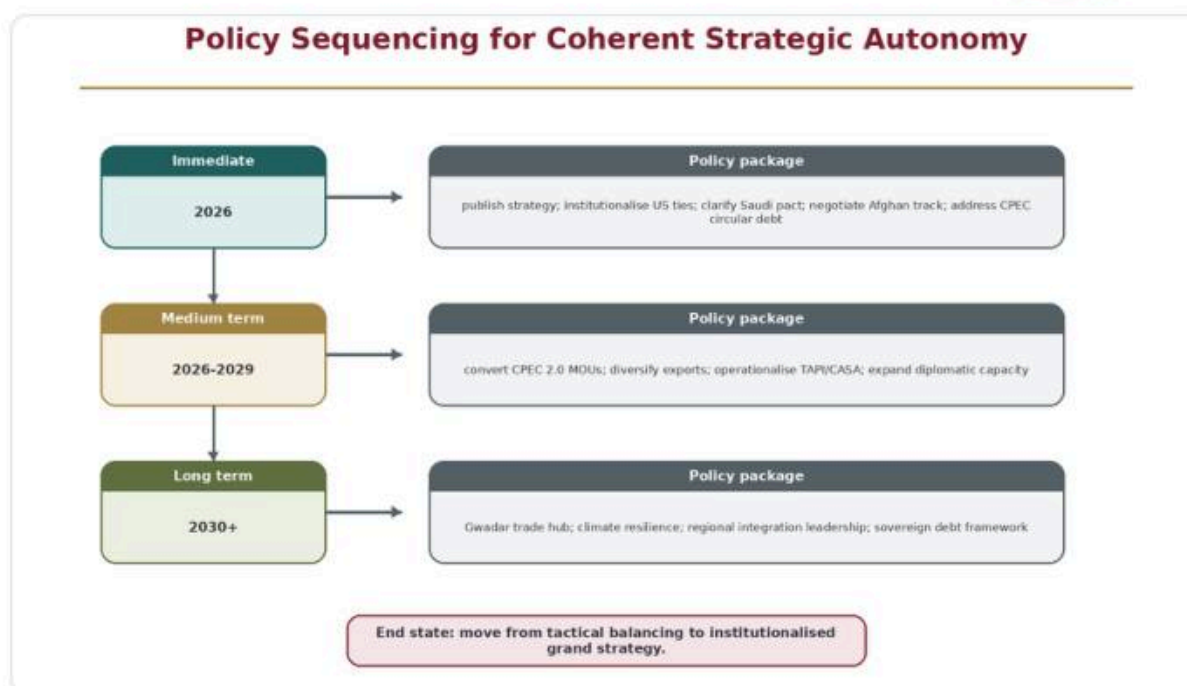


Figure 14: Policy sequencing framework for institutionalising strategic autonomy

Source: Author's illustration based on the provided notes.

◆ Long-Term Vision (2030 and Beyond)

- **Gwadar as a genuine trade hub:** sustained investment in port capacity, city infrastructure, and connectivity to Balochistan's hinterland - alongside a political settlement that addresses the province's insurgency - to transform Gwadar from a contested symbol into a functional economic catalyst.
- **Climate resilience infrastructure:** mainstream adaptation - flood protection, water storage, drought-resistant agriculture - into CPEC 2.0, Gulf investment, and RSF-style multilateral climate financing, building structural resilience rather than perpetual post-disaster response.
- **Regional economic integration leadership:** champion a South and Central Asian connectivity framework leveraging the SCO, a revived SAARC, and bilateral agreements - contingent on repairing, not merely managing, the Afghan relationship.
- **Sovereign debt restructuring framework:** proactively engage in international discussions on sovereign debt reform (the G20 Common Framework and equivalent mechanisms for Chinese and Gulf lenders) to manage existing obligations without crisis-driven renegotiations that damage investor confidence.

11. CONCLUSION

The emergence of a multipolar world order is not simply a structural change in international relations - it is a defining opportunity and a defining test for Pakistan simultaneously. A world in which no single power exercises unchallengeable dominance theoretically expands the strategic space for middle powers to pursue independent, interest-based foreign policies. The eighteen months since this thesis was first written turned that theory into an unusually concentrated real-world experiment: a war with India, a wholesale reset with Washington, a formal Gulf defence pact, and an unlikely mediating role between Washington and Tehran all arrived within a single stretch of Pakistan's history.

Pakistan's balancing strategy is neither naïve neutrality nor cynical opportunism - at its best, it is a principled pursuit of national interest in an anarchic system, and the 2025–2026 record offers real evidence for that reading. But the gap between aspiration and execution remains wide, and in some respects has widened: domestic political instability, economic fragility, debt dependency, institutional weaknesses, and now an actively deteriorating western frontier limit Pakistan's ability to convert its geographic and diplomatic assets into sustained national power. The way forward demands that multipolarity not merely be observed, or even skilfully surfed, as a geopolitical fact, but be actively leveraged - through CPEC 2.0's productive phase, Gulf investment conversion, SCO engagement, an institutionalised (not merely personalised) US relationship, and a stabilised Afghan frontier - to build the economic foundation without which strategic autonomy remains a rhetorical claim rather than a lived reality. Pakistan's stability, sovereignty, and future direction all depend on how wisely it navigates the next phase of the multipolar transition.